

POSCO HOLDINGS INC. and its subsidiaries

Interim condensed consolidated financial statements
for each of the nine-month periods ended September 30, 2025 and 2024
with the independent auditor's review report

**POSCO HOLDINGS INC.
and its subsidiaries**

Table of Contents

Report on review of interim condensed consolidated financial statements

Page

Interim condensed consolidated financial statements

Interim condensed consolidated statements of financial position	1
Interim condensed consolidated statements of comprehensive income	3
Interim condensed consolidated statements of changes in equity.....	4
Interim condensed consolidated statements of cash flows	6
Notes to the interim condensed consolidated financial statements	8



**Shape the future
with confidence**

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Report on review of interim condensed consolidated financial statements

(English translation of a report originally issued in Korean)

The Stockholders and Board of Directors

POSCO HOLDINGS INC.

We have reviewed the accompanying interim condensed consolidated financial statements of POSCO HOLDINGS INC. and its subsidiaries (collectively referred to as the “Group”), which comprise the interim condensed consolidated statement of financial position as of September 30, 2025, and the related interim condensed consolidated statements of comprehensive income for each of the three-month and nine-month periods ended September 30, 2025 and 2024, interim condensed consolidated statements of changes in equity and interim condensed consolidated statements of cash flows for each of the nine-month periods ended September 30, 2025 and 2024, and a summary of material accounting policy information and other explanatory information.

Management’s responsibility for the interim condensed consolidated financial statements

Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1034 *Interim Financial Reporting*, and for such internal control as management determines is necessary to enable the preparation of interim financial statements that are free from material misstatement, whether due to fraud or error.

Auditor’s responsibility

Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

We conducted our review in accordance with the Review Standards for Quarterly and Semiannual Financial Statements established by the Securities and Futures Commission of the Republic of Korea. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Korean Standards on Auditing (“KSA”) and, consequently, does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with KIFRS 1034 *Interim Financial Reporting*.

Other matters

We have audited the consolidated statement of financial position of the Group as of December 31, 2024, and the related consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended (not presented herein) in accordance with KSA, and our report dated March 12, 2025 expressed an unqualified opinion thereon. The accompanying consolidated statement of financial position as of December 31, 2024, presented for comparative purposes, is not different, in all material respects, from the above audited consolidated statement of financial position.



November 14, 2025

This review report is effective as of November 14, 2025, the independent auditor's review report date. Accordingly, certain material subsequent events or circumstances may have occurred during the period from the date of the independent auditor's review report to the time this review report is used. Such events and circumstances could significantly affect the accompanying interim condensed consolidated financial statements and may result in modification to this review report.

POSCO HOLDINGS INC. and its subsidiaries

Interim condensed consolidated financial statements
for each of the nine-month periods ended September 30, 2025 and 2024

“The accompanying interim condensed consolidated financial statements, including all footnotes and disclosures, have been prepared by, and are the responsibility of, the Group.”

Ju tae Lee
Representative Director & President
POSCO HOLDINGS INC.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of financial position
as of September 30, 2025 (Unaudited) and December 31, 2024

<i>(in millions of Won)</i>	<u>Notes</u>	<u>September 30, 2025 (unaudited)</u>	<u>December 31, 2024</u>
Assets			
Cash and cash equivalents	21	₩ 7,168,846	6,767,898
Trade accounts and notes receivable, net	4,15,21,25,26,33	11,437,177	10,821,620
Other receivables, net	5,21,33	1,987,349	2,261,323
Other short-term financial assets	6,21	8,848,553	8,499,389
Inventories	7	12,805,223	14,143,500
Current income tax assets		106,761	140,494
Assets held for sale	8	308,659	608,758
Other current assets	14	920,935	786,943
Total current assets		43,583,503	44,029,925
Long-term trade accounts and notes receivable, net	4,21	24,744	27,779
Other receivables, net	5,21,33	1,650,416	1,306,329
Other long-term financial assets	6,21	2,680,190	2,571,651
Investments in associates and joint ventures	9	4,773,682	4,738,793
Investment property, net	11	1,903,790	1,955,896
Property, plant and equipment, net	12	40,914,031	39,846,828
Intangible assets, net	13	4,844,453	4,774,824
Defined benefit assets, net	19	286,490	409,147
Deferred tax assets	31	1,845,470	3,609,344
Other non-current assets	14	94,824	133,684
Total non-current assets		59,018,090	59,374,275
Total assets		₩ 102,601,593	103,404,200

(continued)

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of financial position, continued
as of September 30, 2025 (Unaudited) and December 31, 2024

<i>(in millions of Won)</i>	Notes	September 30, 2025 (unaudited)	December 31, 2024
Liabilities			
Trade accounts and notes payable	21,33	₩ 5,239,219	6,159,127
Short-term borrowings and current portion of long-term borrowings	15,21	11,988,500	11,115,747
Other payables	16,21,33	2,971,887	3,463,871
Other short-term financial liabilities	17,21	22,660	120,875
Current income tax liabilities		350,942	350,570
Liabilities directly associated with the assets held for sale	8	34,829	-
Provisions	18	387,710	396,030
Other current liabilities	20,25,26	1,273,216	1,173,499
Total current liabilities		22,268,963	22,779,719
Long-term trade accounts and notes payable	21	1,025	2,049
Long-term borrowings, excluding current portion	15,21	15,476,130	14,881,620
Other payables	16,21	1,221,139	809,012
Other long-term financial liabilities	17,21	81,932	72,920
Defined benefit liabilities, net	19	74,770	43,143
Deferred tax liabilities	31	747,071	2,685,549
Long-term provisions	18	576,541	580,559
Other non-current liabilities	20	96,881	99,260
Total non-current liabilities		18,275,489	19,174,112
Total liabilities		40,544,452	41,953,831
Equity			
Share capital	22	482,403	482,403
Capital surplus	22	1,676,704	1,648,894
Other components of equity	23	999,958	1,155,429
Treasury shares	24	(1,176,317)	(1,550,862)
Retained earnings		53,636,511	53,658,367
Equity attributable to owners of the controlling company		55,619,259	55,394,231
Non-controlling interests		6,437,882	6,056,137
Total equity		62,057,141	61,450,368
Total liabilities and equity		₩ 102,601,593	103,404,199

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of comprehensive income
for each of the three-month and nine-month periods
ended September 30, 2025 and 2024 (Unaudited)

		For the three-month period ended September 30 (unaudited)		For the nine-month period ended September 30 (unaudited)	
	Notes	2025	2024	2025	2024
(in millions of Won, except per share information)					
Revenue	25,26,33	₩ 17,261,041	18,321,368	52,253,405	54,882,999
Cost of sales	26,30	(15,844,979)	(16,814,861)	(48,116,110)	(50,552,662)
Gross profit		1,416,062	1,506,507	4,137,295	4,330,337
Selling and administrative expenses	27,30				
Other administrative expenses		(717,927)	(717,936)	(2,142,203)	(2,101,583)
Selling expenses		(59,368)	(45,404)	(180,712)	(150,565)
Operating profit		638,767	743,167	1,814,380	2,078,189
Share of profit of equity-accounted investees, net	9	93,547	68,226	246,347	242,406
Finance income and costs	21,28				
Finance income		227,220	771,393	2,295,952	3,293,716
Finance costs		(343,578)	(767,946)	(2,882,837)	(3,179,318)
Other non-operating income and expenses	29,30				
Other non-operating income		51,799	54,896	235,319	181,593
Other non-operating expenses		(149,912)	(178,407)	(453,679)	(473,220)
Profit before income tax		517,843	691,329	1,255,482	2,143,366
Income tax expense	31	(130,929)	(194,510)	(440,488)	(492,511)
Profit		386,914	496,819	814,994	1,650,855
Other comprehensive income (loss)					
Items that will not be reclassified subsequently to profit or loss:					
Capital adjustment arising from investments in subsidiaries under equity method		-	-	(5,625)	984
Foreign currency translation differences		100,375	(58,584)	(56,228)	57,057
Remeasurements of defined benefit plans	19	12,904	2,390	17,842	4,206
Net changes in fair value of equity investments at fair value through other comprehensive income	21	184,079	49,494	198,190	(27,453)
Items that are or may be reclassified subsequently to profit or loss:					
Capital adjustment arising from investments in subsidiaries under equity method		134,118	(109,145)	(83,165)	89,548
Foreign currency translation differences		294,827	(233,651)	(271,997)	282,236
Gains (losses) on valuation of derivatives	21	113	(421)	(146)	(443)
Other comprehensive income (loss), net of tax		726,416	(349,917)	(201,129)	406,135
Total comprehensive income	₩	1,113,330	146,902	613,865	2,056,990
Profit attributable to:					
Owners of the controlling company	₩	420,845	452,654	883,006	1,523,303
Non-controlling interests		(33,931)	44,165	(68,012)	127,552
Profit	₩	386,914	496,819	814,994	1,650,855
Total comprehensive income attributable to:					
Owners of the controlling company	₩	1,037,743	171,597	739,519	1,849,384
Non-controlling interests		75,587	(24,694)	(125,654)	207,606
Total comprehensive income	₩	1,113,330	146,903	613,865	2,056,990
Earnings per share (in Won)	32				
Basic earnings per share (in Won)		5,565	5,980	11,677	20,092
Diluted earnings per share (in Won)	₩	5,565	5,694	11,677	17,578

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries

Interim condensed consolidated statements of changes in equity

for each of the nine-month periods ended September 30, 2025 and 2024 (Unaudited)

(in millions of Won)

	Attributable to owners of the controlling company						Non-controlling interests	Total
	Share capital	Capital surplus	Other component s of equity	Treasury shares	Retained earnings	Subtotal		
Balance as of January 1, 2024	₩ 482,403	1,663,334	67,256	(1,889,658)	53,857,514	54,180,849	5,483,048	59,663,897
Comprehensive income:								
Profit for the period	-	-	-	-	1,523,303	1,523,303	127,552	1,650,855
Other comprehensive income (loss)								
Remeasurements of defined benefit plans, net of tax	-	-	-	-	4,790	4,790	(584)	4,206
Capital adjustment arising from investments in equity-accounted investees, net of tax	-	-	66,519	-	-	66,519	24,013	90,532
Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax	-	-	(26,145)	-	(705)	(26,850)	(603)	(27,453)
Foreign currency translation differences, net of tax	-	-	282,236	-	-	282,236	57,057	339,293
Gains (losses) on valuation of derivatives, net of tax	-	-	(614)	-	-	(614)	171	(443)
Total comprehensive income	-	-	321,996	-	1,527,388	1,849,384	207,606	2,056,990
Transactions with owners of the controlling company, recognized directly in equity:								
Year-end dividends	-	-	-	-	(189,691)	(189,691)	(85,674)	(275,365)
Interim dividends	-	-	-	-	(379,381)	(379,381)	-	(379,381)
Changes in the scope of consolidation	-	-	-	-	-	-	57,399	57,399
Changes in ownership interest in subsidiaries	-	(15,916)	-	-	-	(15,916)	264,520	248,604
Acquisition of treasury shares	-	-	-	(92,311)	-	(92,311)	-	(92,311)
Retirement of treasury shares	-	-	-	431,107	(431,107)	-	-	-
Share based payments	-	(2,567)	-	-	-	(2,567)	-	(2,567)
Others	-	3,886	(51,143)	-	104	(47,153)	(25,702)	(72,855)
Total transactions with owners of the controlling company	-	(14,597)	(51,143)	338,796	(1,000,075)	(727,019)	210,543	(516,476)
Balance as of September 30, 2024 (Unaudited)	₩ 482,403	1,648,737	338,109	(1,550,862)	54,384,827	55,303,214	5,901,197	61,204,411

(continued)

POSCO HOLDINGS INC. and its subsidiaries

Interim condensed consolidated statements of changes in equity, continued

for each of the nine-month periods ended September 30, 2025 and 2024 (Unaudited)

(in millions of Won)

	Attributable to owners of the controlling company						Non-controlling interests	Total
	Share capital	Capital surplus	Other component s of equity	Treasury shares	Retained earnings	Subtotal		
Balance as of January 1, 2025	₩ 482,403	1,648,894	1,155,429	(1,550,862)	53,658,367	55,394,231	6,056,137	61,450,368
Comprehensive income:								
Profit for the period	-	-	-	-	883,006	883,006	(68,012)	814,994
Other comprehensive income (loss)								
Remeasurements of defined benefit plans, net of tax	-	-	-	-	12,464	12,464	5,378	17,842
Capital adjustment arising from investments in equity-accounted investees, net of tax	-	-	(81,251)	-	-	(81,251)	(7,539)	(88,790)
Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax	-	-	195,367	-	2,075	197,442	747	198,189
Foreign currency translation differences, net of tax	-	-	(271,997)	-	-	(271,997)	(56,228)	(328,225)
Gains (losses) on valuation of derivatives, net of tax	-	-	(146)	-	-	(146)	-	(146)
Total comprehensive income	-	-	(158,027)	-	897,545	739,518	(125,654)	613,864
Transactions with owners of the controlling company, recognized directly in equity:								
Year-end dividends	-	-	-	-	(189,052)	(189,052)	(158,122)	(347,174)
Interim dividends	-	-	-	-	(378,104)	(378,104)	-	(378,104)
Changes in the scope of consolidation	-	-	-	-	-	-	7,040	7,040
Changes in ownership interest in subsidiaries	-	35,622	-	-	-	35,622	687,894	723,516
Retirement of treasury shares	-	-	-	374,545	(374,545)	-	-	-
Others	-	(7,812)	2,556	-	22,300	17,044	(29,413)	(12,369)
Total transactions with owners of the controlling company	-	27,810	2,556	374,545	(919,401)	(514,490)	507,399	(7,091)
Balance as of September 30, 2025 (Unaudited)	₩ 482,403	1,676,704	999,958	(1,176,317)	53,636,511	55,619,259	6,437,882	62,057,141

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of cash flows
for each of the nine-month periods ended September 30, 2025 and 2024 (Unaudited)

<i>(in millions of Won)</i>	Notes	For the nine-month period ended September 30, 2025 (Unaudited)	For the nine-month period ended September 30, 2024 (Unaudited)
Cash flows from operating activities			
Profit for the period	₩	814,994	1,650,854
Adjustments for:			
Depreciation		2,740,684	2,629,545
Amortization		326,815	352,394
Finance income		(1,182,575)	(2,155,923)
Finance costs		1,497,327	1,937,285
Income tax expense		440,488	492,511
Impairment loss on property, plant and equipment		113,147	179,400
Gain on disposal of property, plant and equipment		(32,039)	(14,079)
Loss on disposal of property, plant and equipment		82,146	56,291
Impairment loss on goodwill and other intangible assets		42,448	362
Gain on disposal of investments in subsidiaries, associates and joint ventures		(29,178)	(9,590)
Loss on disposal of investments in subsidiaries, associates and joint ventures		31,264	42,539
Share of profit of equity-accounted investees		(246,347)	(242,406)
Impairment loss on disposal of assets held for sale		11,922	-
Gain on disposal of assets held for sale		(53,672)	(705)
Loss on disposal of assets held for sale		6,277	34,830
Expenses related to post-employment benefit		191,241	183,381
Impairment loss on trade and other receivables		100,191	70,037
(Reversal of) Loss on valuation of inventories		(102,147)	(62,047)
Increase to provisions		195,906	40,815
Insurance benefit income		(10,675)	-
Other income		(2,438)	(8,356)
		<u>4,120,785</u>	<u>3,526,284</u>
Changes in operating assets and liabilities	35	(1,307,874)	(450,846)
Interest received		334,945	423,968
Interest paid		(786,801)	(847,985)
Dividends received		339,337	541,054
Income taxes paid		(858,867)	(429,491)
Net cash provided by operating activities	₩	<u>2,656,519</u>	<u>4,413,838</u>

(continued)

POSCO HOLDINGS INC. and Subsidiaries

Interim condensed consolidated statements of cash flows, consolidated for each of the nine-month periods ended September 30, 2025 and 2024 (Unaudited)

(in millions of Won)		For the nine-month period ended September 30, 2025 (Unaudited)	For the nine-month period ended September 30, 2024 (Unaudited)
	Notes		
Cash flows from investing activities			
Acquisitions of short-term financial instruments	₩	(12,990,582)	(10,755,681)
Proceeds from disposal of short-term financial instruments		12,918,623	14,529,930
Increase in loans		(277,472)	(705,255)
Collection of loans		198,635	645,503
Acquisitions of securities		(756,966)	(1,110,904)
Proceeds from disposal of securities		456,530	645,082
Acquisitions of long-term financial instruments		(19,763)	(3,442)
Acquisitions of investment in associates and joint ventures		(167,792)	(166,147)
Proceeds from disposal of investment in associates and joint ventures		21,309	46,266
Acquisitions of investment property		(1,802)	(1,857)
Proceeds from disposal of investment property		1,415	372
Acquisitions of property, plant and equipment		(4,065,766)	(5,680,476)
Proceeds from disposal of property, plant and equipment		281,050	30,397
Acquisitions of intangible assets		(386,726)	(266,216)
Proceeds from disposal of intangible assets		3,753	3,527
Proceeds from disposal of assets held for sale		476,236	23,531
Collection of lease receivables		19,678	22,391
Cash inflow from insurance claim		10,675	-
Acquisitions of net assets due to changes in consolidated entities		(67,002)	-
Disposal of net assets due to changes in consolidated entities		43,275	9,831
Others, net		(209,407)	(2,884)
Net cash used in investing activities	₩	(4,512,099)	(2,736,032)
Cash flows from financing activities			
Origination of borrowings		4,861,494	4,788,074
Repayment of borrowings		(4,577,572)	(6,149,738)
Repayment of short-term borrowings, net		1,993,846	1,163,905
Capital contribution from non-controlling interests		774,495	308,777
Payment of cash dividends		(725,605)	(655,132)
Repayment of lease liabilities		(106,150)	(145,157)
Acquisition of treasury shares		-	(92,311)
Others, net		108,898	114,696
Net cash provided by (used in) financing activities	₩	2,329,406	(666,886)
Effect of exchange rate fluctuation on cash held		(65,592)	47,132
Net increase in cash and cash equivalents		408,234	1,058,052
Changes in cash classified as assets held for sale		(7,286)	-
Cash and cash equivalents at beginning of the period		6,767,898	6,670,879
Cash and cash equivalents at end of the period	₩	7,168,846	7,728,931

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements
September 30, 2025 and 2024 (Unaudited)

1. General Information

General information about POSCO HOLDINGS INC. (the “Company”), the controlling company, and its subsidiaries in the scope of consolidation, such as 65 domestic subsidiaries including POSCO INC. and 134 foreign subsidiaries including POSCO America Corporation, and 117 associates and joint ventures (collectively referred to as the “Group”) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1110 is as follows:

(a) The controlling company

POSCO HOLDINGS INC., the controlling company, was established on April 1, 1968, under the Commercial Act of the Republic of Korea. The shares of the Company have been listed on the Korea Exchange since June 10, 1988. The Company operates an investment business that controls and manages subsidiaries, etc. through ownership of their shares.

On March 2, 2022, the Company established a new subsidiary, POSCO, by a vertical spin-off of its steel business (which is wholly owned by the surviving company) on March 1, 2022, and changed the name of the surviving company to POSCO HOLDINGS INC.

As of September 30, 2025, the shares of POSCO HOLDINGS INC. are listed on the Korea Exchange, while its ADRs are listed on the New York Stock Exchanges.

(b) Consolidated subsidiaries acquired or newly established for the nine-month period ended September 30, 2025 are as follows:

Company	Date of inclusion	Ownership (%)	Reason
POSCO DEEPTech IP FUND	June 2025	60.00	New establishment
FUTURE GRAPH CO., LTD.	June 2025	100.00	New establishment
Chemgas Korea Co., Ltd.	July 2025	100.00	Acquired
POSCO-EVER NEW MEDICAL Investment Fund	July 2025	60.00	New establishment
POSCO Stainless Precision & Processing	August 2025	100.00	New establishment
POSCO INTERNATIONAL CVC 1st Fund	August 2025	100.00	New establishment
POSCO CVC 1st Fund	August 2025	100.00	New establishment
NYUJERO 2ND CO., LTD.	September 2025	100.00	Acquired
POSCO DX CVC 1st Fund	September 2025	100.00	New establishment
POSCO Group AC Fund I	September 2025	100.00	New establishment
POSCO SAFETY SOLUTION CO., LTD.	September 2025	100.00	New establishment

(c) Consolidated subsidiaries over which the Company has lost control for the nine-month period ended September 30, 2025 are as follows:

Company	Date of exclusion	Reason
SANPU TRADING Co., Ltd.	May 2025	liquidation
NEH Co., Ltd.	June 2025	Merger
POSCO CNGR Nickel Solution	July 2025	Liquidation
POSCO ENGINEERING & CONSTRUCTION VIETNAM	August 2025	Disposal
SK SOLRA POWER GENERATION CORPORATION	August 2025	Disposal

2. Basis of Preparation

Statement of compliance

The interim condensed consolidated financial statements have been prepared in accordance with KIFRS 1034 *Interim Financial Reporting*, as prescribed in the *Act on External Audit of Stock Companies* of the Republic of Korea. The accompanying interim condensed consolidated financial statements have been translated into English from the Korean language financial statements. In the event of any differences in interpreting the financial statements or the independent auditor's review report thereon, the Korean version, which is used for regulatory reporting purposes, shall prevail.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group's annual financial statements as of December 31, 2024. Selected explanatory notes are included to explain events and transactions that are significant to an understanding of the changes in financial position and performance of the Group incurred after December 31, 2024.

These interim condensed consolidated financial statements do not include all of the disclosures required for full annual financial statements.

Use of estimates and judgments

(a) Judgments, assumptions and estimation uncertainties

The preparation of the interim condensed consolidated financial statements in conformity with KIFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period prospectively.

(b) Measurement of fair value

The Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. The Group has an established control framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the financial officer.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations meet the requirements of KIFRS including the level in the fair value hierarchy in which such valuation techniques should be classified.

Significant valuation issues are reported to the Group's Audit Committee.

2. Basis of Preparation (cont'd)

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

- Level 1 - unadjusted quoted prices in active markets for identical assets or liabilities.
- Level 2 - inputs other than quoted prices included in Level 1 that are observable for the assets or liabilities, either directly or indirectly.
- Level 3 - inputs for the assets or liabilities that are not based on observable market data.

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement. The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

3. Summary of Material Accounting Policy Information

Except for the items described below, the accounting policies applied by the Group in these interim condensed consolidated financial statements are the same as those applied to the consolidated financial statements as of and for the year ended December 31, 2024.

Changes in accounting policies

(a) Amendments to KIFRS 1021: *Lack of Exchangeability*

The amendments to KIFRS 1021 *The Effects of Changes in Foreign Exchange Rates* specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require the disclosure of information that enables users of its financial statements to understand how the currency that is not exchangeable into the other currency affects, or is expected to affect, the Group's financial performance, financial position, and cash flows.

The amendments will be effective for annual reporting periods beginning on or after January 1, 2025. When applying the amendment, the Group is not required to restate comparative information.

The amendments are not expected to have a material impact on the Group's interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

4. Trade Accounts and Notes Receivable

Trade accounts and notes receivable as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current			
Trade accounts and notes receivable	₩	10,306,250	9,654,940
Due from customers for contract work		1,520,968	1,488,180
Less: Allowance for doubtful accounts		<u>(390,041)</u>	<u>(321,501)</u>
	₩	<u>11,437,177</u>	<u>10,821,619</u>
Non-current			
Trade accounts and notes receivable	₩	69,409	72,387
Less: Allowance for doubtful accounts		<u>(44,665)</u>	<u>(44,608)</u>
	₩	<u>24,744</u>	<u>27,779</u>

The Group discounted trade accounts receivable in accordance with trade accounts receivable factoring agreements with financial institutions for the nine-month period ended September 30, 2025 and the year ended December 31, 2024. This transaction is a transaction with recourse rights because the Group is obligated to pay the amount to the bank, etc. if the trade accounts receivable are not recovered at maturity, and the transaction is accounted for as secured borrowing. As of September 30, 2025 and December 31, 2024, the book value of the trade accounts receivable from the transaction is ₩148,876 million and ₩119,076 million, respectively, and the amount is included in the short-term borrowings.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

5. Other Receivables

Other receivables as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Current			
Short-term loans	₩	329,492	375,244
Other accounts receivable		1,387,386	1,671,039
Accrued income(*1)		312,572	293,985
Deposits		45,316	80,007
Others		43,611	28,480
Lease receivables		14,258	18,224
Less: Allowance for doubtful accounts(*1)		(145,286)	(205,656)
	₩	<u>1,987,349</u>	<u>2,261,323</u>
Non-current			
Long-term loans(*1)	₩	1,339,728	1,247,255
Other accounts receivable		397,735	192,736
Accrued income		207,926	189,565
Deposits		241,206	142,698
Lease receivables		66,266	76,680
Less: Allowance for doubtful accounts(*1)		(602,445)	(542,605)
	₩	<u>1,650,416</u>	<u>1,306,329</u>

(*1) The Group recognized an allowance for doubtful accounts for the entire other receivables from FQM Australia Holdings Pty Ltd., an associate, due to low possibility of collecting these receivables.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

6. Other Financial Assets

Other financial assets as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current			
Derivatives assets	₩	178,093	465,178
Debt securities		928,407	400,771
Deposit instruments(*1)		6,919,891	6,420,797
Short-term financial instruments(*1)		822,162	1,212,643
	₩	<u>8,848,553</u>	<u>8,499,389</u>
Non-current			
Derivatives assets	₩	268,029	497,698
Equity securities(*2)		1,497,778	1,171,544
Debt securities		124,648	115,601
Other securities(*2)		744,878	762,177
Deposit instruments(*1)		44,857	24,631
	₩	<u>2,680,190</u>	<u>2,571,651</u>

(*1) As of September 30, 2025 and December 31, 2024, financial instruments amounting to ₩78,537 million and ₩98,116 million, respectively, are restricted in use for financial arrangements, pledge and others.

(*2) As of September 30, 2025 and December 31, 2024, ₩185,688 million and ₩182,862 million of equity and other securities, respectively, have been provided as collateral for borrowings, construction projects and others.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

7. Inventories

(a) Inventories as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Finished goods	₩	2,364,402	2,741,236
Merchandise		1,073,586	1,166,464
Semi-finished goods		2,530,097	2,659,707
Raw materials		3,356,036	3,764,453
Fuel and materials		1,124,899	1,038,854
Construction inventories		172,127	200,825
Materials-in-transit		2,407,684	2,889,334
Others		103,998	118,391
		<u>13,132,829</u>	<u>14,579,264</u>
Less: Allowance for inventories valuation(*1)		<u>(327,606)</u>	<u>(435,764)</u>
	₩	<u>12,805,223</u>	<u>14,143,500</u>

(*1) For each of the nine-month periods ended September 30, 2025 and 2024, allowance for inventories valuation decreased by ₩102,147 million and ₩62,047 million, respectively.

(b) The allowances for inventories valuation by item as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Finished goods	₩	120,628	187,902
Merchandise		10,267	14,288
Semi-finished goods		71,962	103,751
Raw materials		109,354	113,413
Fuel and materials		5,528	6,060
Construction inventories		5,915	6,420
Others		3,952	3,930
	₩	<u>327,606</u>	<u>435,764</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

8. Assets Held for Sale

Details of assets held for sale as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Asset			
Cash and cash equivalents	₩	9,154	-
Account receivables		21,396	-
Inventories		12,671	-
Equity securities(*1)		225,724	604,439
Property, plant and equipment		35,601	4,319
Intangible assets		2,676	-
Others		1,437	-
	₩	<u>308,659</u>	<u>608,758</u>
Liability			
Other receivables	₩	(34,577)	-
Provisions		(252)	-
	₩	<u>(34,829)</u>	<u>-</u>

(*1) Some of the equity securities of Nippon Steel Corporation amounting to ₩402,860 million, which have been classified as assets held for sale for the year ended December 31, 2024, were disposed of during the nine-month period ended September 30, 2025, and the carrying amount of the remaining equity securities is ₩225,724 million.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint ventures

(a) Details of investments in associates as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)	September 30, 2025				December 31, 2024	
Company	Number of shares	Ownership (%)	Acquisition cost	Book value	Book value	
[Domestic]						
Samcheok Blue Power Co.,Ltd.(*1)	4,507,138	34.00	₩ 473,093	₩ 421,594	392,269	
Chun-cheon Energy Co., Ltd.(*1)	17,308,143	49.10	86,541	14,054	14,054	
Pocheon-Hwado Highway Corp.(*1)	7,109,230	27.89	35,546	17,044	14,834	
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	944,920	29.53	4,725	12,259	12,401	
PCC Amberstone Private Equity Fund 1(*2)	3,666,151,104	8.80	3,666	3,712	6,181	
Others(*1)				132,966	122,688	
				601,629	562,427	
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.	50,082	25.04	102,298	273,336	279,349	
9404-5515 Quebec Inc.	284,463,243	25.85	328,509	397,429	426,276	
AMCI (WA) PTY LTD	49	49.00	209,664	113,847	68,478	
KOREA LNG LTD.	2,400	20.00	135,205	19,073	25,622	
PT. Wampu Electric Power(*1)	8,708,400	20.00	10,054	15,651	17,680	
POS-SeAH Steel Wire(Nantong) Co., Ltd.	50	25.00	4,723	11,143	10,713	
M RES NSW HCC II Pty Ltd(*3)	48,000,000	80.00	68,861	64,940	-	
Others(*1)				229,937	241,841	
				1,125,356	1,069,959	
				₩ 1,726,985	1,632,386	

- (*1) As of September 30, 2025 and December 31, 2024, investments in associates amounting to ₩482,255 million and ₩452,614 million, respectively, are provided as collateral in relation to the associates' borrowings.
- (*2) As of September 30, 2025, the entity is classified as an associate since the Group has significant influence over the investee although the Group's percentage of ownership is less than 20%, considering the structure of the entity's Board of Directors and others.
- (*3) As of September 30, 2025, the entity is classified as an associate since the Group has significant influence over the investee although the Group's percentage of ownership exceeds a majority, considering the structure of the entity's Board of Directors and others.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint Ventures (cont'd)

(b) Details of investments in joint ventures as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)		September 30, 2025			December 31, 2024
Company	Number of shares	Ownership (%)	Acquisition cost	Book value	Book value
[Domestic]					
POSCO MC MATERIALS	11,568,000	60.00	₩ 115,680	₩ 144,557	153,839
SNNC	18,130,000	49.00	90,650	25,008	38,046
Others				19,145	10,042
				<u>188,710</u>	<u>201,927</u>
[Foreign]					
Roy Hill Holdings Pty Ltd(*1)	13,117,972	12.50	1,528,672	1,357,782	1,397,824
POSCO-NPS Niobium LLC	325,050,000	50.00	364,609	455,867	477,898
KOBRASCO	2,010,719,185	50.00	32,950	128,113	119,820
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	-	25.00	61,961	121,580	126,906
PT NICOLE METAL INDUSTRY	152,764,706	49.00	603,178	632,502	578,604
HBIS-POSCO Automotive Steel Co., Ltd	-	50.00	235,251	140,995	179,841
Others				21,148	23,587
				<u>2,857,987</u>	<u>2,904,480</u>
				<u>₩ 3,046,697</u>	<u>3,106,407</u>

(*1) As of September 30, 2025 and December 31, 2024, the investments in joint ventures are provided as collateral in relation to the joint ventures' borrowings.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint Ventures (cont'd)

(c) Changes in investments in associates and joint ventures for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the nine-month period ended September 30, 2025

(in millions of Won)

Company	January 1, 2025 Book value	Acquisition	Dividends	Share of profits (losses)	Other increase (decrease)(*1)	September 30, 2025 Book value
[Domestic]						
Samcheok Blue Power Co., Ltd.	₩ 392,269	17,509	(2,795)	14,603	8	421,594
SNNC	38,046	-	-	(13,038)	-	25,008
Chun-cheon Energy Co., Ltd	14,054	-	-	(323)	323	14,054
Pocheon-Hwado Highway Corp.	14,834	-	-	2,210	-	17,044
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co., Ltd	12,401	-	-	(143)	1	12,259
PCC Amberstone Private Equity Fund 1	6,181	-	-	(364)	(2,105)	3,712
POSCO MC MATERIALS	153,839	-	(3,000)	(6,282)	-	144,557
Others	132,730	18,097	(1,248)	2,776	(244)	152,111
	<u>764,354</u>	<u>35,606</u>	<u>(7,043)</u>	<u>(561)</u>	<u>(2,017)</u>	<u>790,339</u>
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.	279,349	-	(26,653)	44,436	(23,796)	273,336
9404-5515 Quebec Inc.	426,276	-	(21,180)	14,749	(22,416)	397,429
AMCI (WA) PTY LTD	68,478	-	-	49,677	(4,308)	113,847
KOREA LNG LTD.	25,622	-	(4,443)	4,574	(6,680)	19,073
PT. Wampu Electric Power	17,680	-	(1,708)	511	(832)	15,651
POS-SeAH Steel Wire(Nantong) Co., Ltd.	10,713	-	-	755	(325)	11,143
Roy Hill Holdings Pty Ltd	1,397,824	-	(164,092)	105,580	18,470	1,357,782
POSCO-NPS Niobium LLC	477,898	-	(32,031)	32,144	(22,144)	455,867
KOBRASCO	119,820	-	(18,197)	13,506	12,984	128,113
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	126,906	-	(11,440)	8,971	(2,857)	121,580
PT NICOLE METAL INDUSTRY	578,604	62,573	-	14,840	(23,515)	632,502
HBIS-POSCO Automotive Steel Co., Ltd	179,841	-	-	(35,291)	(3,555)	140,995
M RES NSW HCC II Pty Ltd	-	68,861	-	(2,195)	(1,726)	64,940
Others	265,428	751	(8,707)	(5,349)	(1,038)	251,085
	<u>3,974,439</u>	<u>132,185</u>	<u>(288,451)</u>	<u>246,908</u>	<u>(81,738)</u>	<u>3,983,343</u>
₩	<u>4,738,793</u>	<u>167,791</u>	<u>(295,494)</u>	<u>246,347</u>	<u>(83,755)</u>	<u>4,773,682</u>

(*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the nine-month period ended September 30, 2025.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint Ventures (cont'd)

2) For the year ended December 31, 2024

(in millions of Won)

Company	January 1, 2024 Book value	Acquisition	Dividends	Share of profits (losses)	Other increase (decrease)(*1)	December 31, 2024 Book value
[Domestic]						
Samcheok Blue Power Co.,Ltd.	₩ 323,521	25,680	(10,993)	54,140	(79)	392,269
SNNC	100,692	-	-	(61,898)	(748)	38,046
Chun-cheon Energy Co., Ltd	15,040	-	-	1,807	(2,793)	14,054
Pocheon-Hwado Highway Corp.	23,998	-	-	(9,164)	-	14,834
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	13,967	-	-	(384)	(1,182)	12,401
PCC Amberstone Private Equity Fund 1	8,904	175	(490)	(484)	(1,924)	6,181
POSCO MC MATERIALS	155,748	-	(1,800)	403	(512)	153,839
Others	150,985	12,362	(4,999)	(6,802)	(18,816)	132,730
	792,855	38,217	(18,282)	(22,382)	(26,054)	764,354
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.	287,282	-	(64,208)	45,923	10,352	279,349
AES Mong Duong Power Company Limited(*2)	230,699	-	(34,821)	(82,075)	(113,803)	-
9404-5515 Quebec Inc.	346,724	-	(17,764)	35,241	62,075	426,276
AMCI (WA) PTY LTD	60,225	-	-	(5,127)	13,380	68,478
NCR LLC	253,121	4,275	-	(266,425)	9,029	-
KOREA LNG LTD.	58,759	-	(17,829)	17,714	(33,022)	25,622
Nickel Mining Company SAS	87,967	-	-	(94,353)	6,386	-
ZHEJIANG HUAYOU-POSCO ESM CO., LTD	105,300	-	-	(117,143)	11,843	-
PT. Wampu Electric Power	15,632	-	(1,764)	1,238	2,574	17,680
POS-SeAH Steel Wire(Nantong) Co., Ltd.	8,642	-	-	573	1,498	10,713
Roy Hill Holdings Pty Ltd	1,400,009	-	(284,541)	203,130	79,226	1,397,824
POSCO-NPS Niobium LLC	419,192	-	(29,225)	29,336	58,595	477,898
KOBRASCO	99,768	-	(5,761)	37,914	(12,101)	119,820
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	111,001	-	(10,772)	14,207	12,470	126,906
DMSA/AMSA	16,572	-	-	(17,299)	727	-
PT NICOLE METAL INDUSTRY	284,351	247,824	-	(315)	46,744	578,604
HBIS-POSCO Automotive Steel Co., Ltd	208,765	-	-	(49,480)	20,556	179,841
Others	233,400	7,860	(26,222)	12,865	37,525	265,428
	4,227,409	259,959	(492,907)	(234,076)	214,054	3,974,439
₩	5,020,264	298,176	(511,189)	(256,458)	188,000	4,738,793

(*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the year ended December 31, 2024.

(*2) For the year ended December 31, 2024, the Group determined to sell AES Mong Duong Power Company Limited and classified it as assets held for sale.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint Ventures (cont'd)

(d) The summarized financial information on associates and joint ventures as of and for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 is as follows:

1) As of and for the nine-month period ended September 30, 2025

(in millions of Won)

Company	Assets	Liabilities	Equity (deficit)	Sales	Net income (loss)
[Domestic]					
Samcheok Blue Power Co.,Ltd.	₩ 5,272,989	4,425,359	847,630	513,676	45,199
SNNC	629,272	561,518	67,754	572,524	(27,764)
Chun-cheon Energy Co., Ltd	520,094	396,593	123,501	281,121	307
Pocheon-Hwado Highway Corp.	683,308	584,762	98,546	17,184	7,100
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	14,030	2,817	11,213	1,050	(483)
PCC Amberstone Private Equity Fund 1	43,757	1,561	42,196	1,397	(4,142)
POSCO MC MATERIALS	348,065	104,817	243,248	151,069	(9,687)
[Foreign]					
South-East Asia Gas Pipeline Company Ltd.	1,454,148	362,538	1,091,610	347,150	177,469
9404-5515 Quebec Inc.	1,604,080	9	1,604,071	-	57,061
FQM Australia Holdings Pty Ltd	56,562	1,510,781	(1,454,219)	-	(61,793)
KOREA LNG LTD.	95,655	291	95,364	24,476	22,869
Nickel Mining Company SAS	503,701	304,421	199,280	135,799	(53,787)
ZHEJIANG HUAYOU-POSCO ESM CO., LTD	307,360	51,858	255,502	104,233	(23,972)
PT. Wampu Electric Power	182,429	107,223	75,206	13,306	2,554
POS-SeAH Steel Wire(Nantong) Co., Ltd.	100,784	58,800	41,984	114,195	2,901
Roy Hill Holdings Pty Ltd	10,705,670	2,647,567	8,058,103	5,243,024	1,167,733
POSCO-NPS Niobium LLC	911,530	-	911,530	-	57,767
KOBRASCO	271,831	16,210	255,621	40,462	27,012
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	1,004,515	545,060	459,455	1,066,995	35,885
DMSA/AMSA	826,471	1,696,559	(870,088)	569,544	(697,846)
HBIS-POSCO Automotive Steel Co., Ltd	965,173	665,159	300,014	396,883	(70,554)
PT NICOLE METAL INDUSTRY	1,071,554	200,703	870,851	491,610	30,407
M RES NSW HCC II Pty Ltd	81,412	3	81,409	-	(2,744)

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

9. Investments in Associates and Joint Ventures (cont'd)

2) As of and for the year ended December 31, 2024

(in millions of Won)

Company	Assets	Liabilities	Equity (deficit)	Sales	Net income (loss)
[Domestic]					
Samcheok Blue Power Co.,Ltd.	₩ 4,770,385	4,013,505	756,880	596,497	177,922
SNNC	656,049	560,530	95,519	690,103	(127,233)
Chun-cheon Energy Co., Ltd	540,333	417,139	123,194	430,679	5,089
Pocheon-Hwado Highway Corp.	690,646	599,199	91,447	21,920	(29,582)
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	14,663	2,968	11,695	-	(1,302)
PCC Amberstone Private Equity Fund 1	72,722	2,455	70,267	7	(5,508)
POSCO MC MATERIALS	385,270	127,335	257,935	226,376	1,217
[Foreign]					
South-East Asia Gas Pipeline Company Ltd.	1,634,345	518,743	1,115,602	409,790	183,392
AES Mong Duong Power Company Limited	1,758,256	922,268	835,988	460,672	118,071
9404-5515 Quebec Inc.	1,704,653	-	1,704,653	-	136,320
FQM Australia Holdings Pty Ltd	61,735	1,521,991	(1,460,256)	102,869	(396,146)
KOREA LNG LTD.	128,215	102	128,113	90,578	88,572
Nickel Mining Company SAS	519,560	282,321	237,239	237,102	(27,170)
ZHEJIANG HUAYOU-POSCO ESM CO., LTD	325,284	39,058	286,226	82,254	(7,139)
PT. Wampu Electric Power	209,725	124,359	85,366	19,133	6,191
POS-SeAH Steel Wire(Nantong) Co., Ltd.	98,919	58,972	39,947	139,499	2,145
Roy Hill Holdings Pty Ltd	10,460,434	2,356,265	8,104,169	7,179,077	2,038,555
POSCO-NPS Niobium LLC	955,592	-	955,592	-	57,722
KOBRASCO	282,087	43,052	239,035	118,408	74,690
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	1,180,532	699,775	480,757	1,595,656	56,830
DMS/AMSA	3,364,786	3,468,220	(103,434)	694,120	(571,215)
HBIS-POSCO Automotive Steel Co., Ltd	1,024,831	645,671	379,160	518,808	(90,757)
PT NICOLE METAL INDUSTRY	818,168	25,039	793,129	-	(644)

10. Joint Operations

Details of significant joint operations that the Group is participating in as a party to a joint arrangement as of September 30, 2025 are as follows:

Joint operations	Operation	Ownership (%)	Location
Myanmar A-1/A-3 mine	Mine development and gas production	51.00	Myanmar
Offshore midstream	Gas transportation facility	51.00	Myanmar
Mt. Thorley J/V	Mine development	20.00	Australia
POSMAC J/V	Mine development	20.00	Australia

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

11. Investment Property

Changes in the carrying amounts of investment properties for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

(a) For the nine-month period ended September 30, 2025

<i>(in millions of Won)</i>		Beginning	Acquisitions	Disposals	Depreciation	Others(*1)	Ending
Land	₩	866,450	-	(510)	-	(14,306)	851,634
Buildings		942,851	1,878	-	(19,082)	(13,761)	911,886
Structures		1,755	-	-	(681)	322	1,396
Right of use assets		144,840	1,464	(254)	(4,166)	(3,010)	138,874
	₩	<u>1,955,896</u>	<u>3,342</u>	<u>(764)</u>	<u>(23,929)</u>	<u>(30,755)</u>	<u>1,903,790</u>

(*1) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Acquisitions	Business Combination(*1)	Disposals	Depreciation	Impairment loss	Others(*2)	Ending
Land	₩	787,304	3,755	59,766	(47,137)	-	(215)	62,977	866,450
Buildings		655,786	1,782	355,155	(34,419)	(34,179)	(9,776)	8,502	942,851
Structures		1,873	-	-	-	(911)	-	793	1,755
Right of use assets		171,331	-	-	(107)	(6,547)	-	(19,837)	144,840
	₩	<u>1,616,294</u>	<u>5,537</u>	<u>414,921</u>	<u>(81,663)</u>	<u>(41,637)</u>	<u>(9,991)</u>	<u>52,435</u>	<u>1,955,896</u>

(*1) For the year ended December 31, 2024, RNR Logistics and others were included as subsidiaries, and the Group has included the effect of the increase in investment properties in the business combination.

(*2) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

12. Property, Plant and Equipment

(a) Changes in the carrying amounts of property, plant and equipment for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the nine-month period ended September 30, 2025

(in millions of Won)

		Beginning	Acquisitions	Disposals	Depreciation	Impairment loss	Others(*1)	Ending
Land	₩	3,335,875	2,677	(13,233)	-	(1,476)	49,496	3,373,339
Buildings		5,280,968	10,688	(27,333)	(293,224)	-	617,989	5,589,088
Structures		3,860,523	7,524	(101,533)	(245,493)	(2,530)	684,328	4,202,819
Machinery and equipment		18,311,678	49,970	(35,407)	(1,907,861)	(69,430)	1,870,577	18,219,527
Vehicles		89,975	5,568	(1,394)	(28,656)	-	13,368	78,861
Tools		134,501	11,507	(800)	(40,146)	(4)	5,982	111,040
Furniture and fixtures		200,033	17,754	(1,292)	(59,394)	-	56,568	213,669
Lease assets		970,634	596,290	(24,103)	(141,980)	-	(23,222)	1,377,619
Bearer plants		139,451	-	(78)	-	-	(17,751)	121,622
Construction-in-progress		7,523,190	3,909,255	(1,333)	-	(39,707)	(3,764,958)	7,626,447
	₩	39,846,828	4,611,233	(206,506)	(2,716,754)	(113,147)	(507,623)	40,914,031

(*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

(in millions of Won)

		Beginning	Acquisitions	Disposals	Depreciation	Impairment loss(*2,3)	Others(*1)	Ending
Land	₩	3,290,244	20,523	(6,061)	-	(6,620)	37,789	3,335,875
Buildings		4,427,632	14,002	(11,137)	(346,334)	(67,797)	1,264,602	5,280,968
Structures		3,081,524	11,663	(4,497)	(306,017)	(15,328)	1,093,178	3,860,523
Machinery and equipment		16,539,192	179,457	(47,511)	(2,484,915)	(385,367)	4,510,822	18,311,678
Vehicles		79,595	17,353	(1,487)	(39,263)	(56)	33,833	89,975
Tools		128,865	28,731	(673)	(54,966)	(1,573)	34,117	134,501
Furniture and fixtures		189,887	27,966	(2,380)	(70,561)	(3,260)	58,381	200,033
Lease assets		998,305	132,219	(18,706)	(177,475)	(1,994)	38,285	970,634
Bearer plants		137,331	-	(27)	(9,602)	-	11,749	139,451
Construction-in-progress		6,333,673	7,634,826	(3,482)	-	(128,119)	(6,313,708)	7,523,190
	₩	35,206,248	8,066,740	(95,961)	(3,489,133)	(610,114)	769,048	39,846,828

(*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

(*2) The Group calculated the net fair value of individual assets, such as steelmaking plant no. 1 and blast furnace no. 4 in Pohang, whose operation was suspended due to operation plan changes, to estimate recoverable amount and recognized an impairment loss of ₩227,239 million for property, plant and equipment for the year ended December 31, 2024.

(*3) The Group identified a certain portion of the anode/cathode material assets that were in long-term idle status or expected to fall short of the anticipated economic performance for the year ended December 31, 2024. The Group calculated the net fair value of such individual assets to estimate the recoverable amount and recognized an impairment loss of ₩307,911 million for assets whose recoverable amounts are less than their carrying amounts.

POSCO HOLDINGS INC. and its subsidiaries

Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

12. Property, Plant and Equipment (cont'd)

(b) Changes in the carrying amounts of right-of-use assets presented as investment properties and property, plant and equipment for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the nine-month period ended September 30, 2025

<i>(in millions of Won)</i>		Beginning	Acquisitions	Depreciation	Impairment loss	Others	Ending
Land	₩	348,918	7,967	(10,768)	-	(28,471)	317,646
Buildings and structures		154,747	108,737	(43,880)	-	(19,429)	200,175
Machinery and equipment		346,642	19,925	(40,045)	-	8,649	335,171
Vehicles		45,071	11,491	(15,252)	-	(1,172)	40,138
Ships		196,070	264,508	(24,048)	-	-	436,530
Others		24,026	185,126	(12,152)	-	(10,167)	186,833
	₩	<u>1,115,474</u>	<u>597,754</u>	<u>(146,145)</u>	<u>-</u>	<u>(50,590)</u>	<u>1,516,493</u>

2) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Acquisitions	Depreciation	Impairment loss	Others	Ending
Land	₩	363,789	1,542	(17,501)	(1,994)	3,082	348,918
Buildings and structures		151,366	58,116	(54,092)	-	(643)	154,747
Machinery and equipment		355,604	37,204	(47,797)	-	1,631	346,642
Vehicles		48,228	12,501	(20,291)	-	4,633	45,071
Ships		220,754	-	(24,684)	-	-	196,070
Others		29,895	22,856	(19,657)	-	(9,068)	24,026
	₩	<u>1,169,636</u>	<u>132,219</u>	<u>(184,022)</u>	<u>(1,994)</u>	<u>(365)</u>	<u>1,115,474</u>

(c) The amounts recognized in profit or loss related to leases for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>		For the three-month periods ended September 30		For the nine-month periods ended September 30	
		2025	2024	2025	2024
Interest on lease liabilities	₩	19,002	12,880	43,788	37,192
Expenses related to short-term leases		11,704	11,584	32,288	40,028
Expenses related to leases of low-value assets		6,047	6,502	13,903	19,373
	₩	<u>36,753</u>	<u>30,966</u>	<u>89,979</u>	<u>96,593</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

13. Goodwill and Other Intangible Assets

Changes in the carrying amounts of goodwill and other intangible assets for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

(a) For the nine-month period ended September 30, 2025

<i>(in millions of Won)</i>	Beginning	Acquisitions	Business Combination	Disposals	Amortization	Impairment loss	Others(*2)	Ending
Goodwill	₩ 357,851	-	39,413	-	-	-	(625)	396,639
Intellectual property rights	3,247,517	244,042	-	(4)	(215,288)	(25,680)	(1,760)	3,248,827
Membership(*1)	136,108	4,241	-	(2,940)	(160)	(511)	1,403	138,141
Development expense	95,041	10,661	-	-	(24,741)	-	12,903	93,864
Port facilities usage rights	167,996	-	-	-	(11,133)	-	-	156,863
Exploration and evaluation assets	115,309	39,271	-	-	-	(16,256)	(1,147)	137,177
Development assets	86,711	-	-	-	(201)	-	(3,997)	82,513
Customer relationships	145,699	-	-	-	(33,359)	-	7,097	119,437
Other intangible assets	422,592	98,224	4,975	(47)	(41,933)	(1)	(12,818)	470,992
	<u>₩ 4,774,824</u>	<u>396,439</u>	<u>44,388</u>	<u>(2,991)</u>	<u>(326,815)</u>	<u>(42,448)</u>	<u>1,056</u>	<u>4,844,453</u>

(*1) Estimated useful life of membership is indefinite.

(*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

<i>(in millions of Won)</i>	Beginning	Acquisitions	Business Combination	Disposals	Amortization	Impairment loss	Others(*2)	Ending
Goodwill	₩ 403,172	-	282	-	-	(46,958)	1,355	357,851
Intellectual property rights	3,029,651	353,175	-	(240)	(272,730)	-	137,661	3,247,517
Membership(*1)	138,184	1,716	-	(4,179)	(180)	29	538	136,108
Development expense	126,818	15,913	-	(22)	(63,684)	(692)	16,708	95,041
Port facilities usage rights	182,411	-	-	-	(14,415)	-	-	167,996
Exploration and evaluation assets	163,446	21,024	-	-	-	-	(69,161)	115,309
Development assets	10,235	543	-	-	(76)	-	76,009	86,711
Customer relationships	196,895	-	-	-	(44,478)	-	(6,718)	145,699
Other intangible assets	463,972	118,563	-	(102,012)	(58,126)	(252)	447	422,592
	<u>₩ 4,714,784</u>	<u>510,934</u>	<u>282</u>	<u>(106,453)</u>	<u>(453,689)</u>	<u>(47,873)</u>	<u>156,839</u>	<u>4,774,824</u>

(*1) Estimated useful life of membership is indefinite.

(*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

14. Other Assets

Other assets as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Current			
Advance payments	₩	637,374	509,922
Prepaid expenses		267,283	259,145
Firm commitment asset		1,829	2,489
Other current assets		14,449	15,387
	₩	<u>920,935</u>	<u>786,943</u>
Non-current			
Long-term advance payments	₩	28,396	33,308
Long-term prepaid expenses		17,420	20,689
Others		49,008	79,688
	₩	<u>94,824</u>	<u>133,685</u>

15. Borrowings

(a) Short-term borrowings and current portion of long-term borrowings and others as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>						
	Lenders	Issuance date	Maturity date	Interest rate (%)	September 30, 2025	December 31, 2024
Short-term borrowings						
Bank overdrafts	JP Morgan and others	January, 2025~ September, 2025	October, 2025~ September, 2026	3.40~7.00	₩ 108,817	85,892
Short-term borrowings	HSBC and others	October, 2024~ September, 2025	October, 2025~ September, 2026	0.49~7.00	7,025,453	5,647,199
					<u>7,134,270</u>	<u>5,733,091</u>
Current portion of long-term liabilities						
Current portion of long-term borrowings	Export-Import Bank of Korea and others	December, 2006~ September, 2025	October, 2025~ September, 2026	1.00~6.13	1,230,195	1,323,002
Current portion of debentures	KB Securities co.,Ltd. and others	March, 2021~ March, 2024	October, 2025~ September, 2026	1.72~5.63	3,583,413	4,024,084
Less: Current portion of discount on debentures issued					(2,804)	(3,483)
Current portion of exchangeable bonds	Foreign currency exchangeable bonds	September, 2021	September, 2026		43,426	39,053
					<u>4,854,230</u>	<u>5,382,656</u>
					₩ <u>11,988,500</u>	<u>11,115,747</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

15. Borrowings (cont'd)

The issuance conditions of the exchangeable bonds issued by the Company are as follows:

	Foreign currency exchangeable bonds
Type of bond	Exchangeable bonds
Aggregate principal amount(*1)	EUR 27,100,000
Interest rate	- Coupon rate : - - Yield to maturity : (0.78%)
Maturity date	September 1, 2026
Redemption	- Redemption at maturity : Outstanding bond principal, which is not repaid early or which call option is not exercised on, is repaid at maturity as a lump sum - Prepayment : The issuer has call option and the bondholders have put option
Exchange rate	100%
Exchange price(*2) (Won/share)	425,631
Underlying shares	Registered common shares(treasury shares)
Exchange period	From October 12, 2021 to August 22, 2026
Adjustments for exchange price	Adjusting the exchange price according to the terms and conditions of the bond in the events of reason for adjusting the exchange price such as, bonus issue, share split, share consolidation, change of share type, issuance of options or warranties to shareholders, share dividend, cash dividend, issuance of new shares under the market price.
Put option by bondholders	- In the event of a change of control of the Company - Where the shares issued by the Company are delisted (or suspended for more than 30 consecutive trading days)
Call option by the issuer	- Share price(based on closing price) is higher than 130% of exchange price for more than 20 trading days during 30 consecutive trading days in a row, after 3 years (September 1, 2024) from the closing day to 30 business days before the maturity of bonds - When the outstanding balance of outstanding bonds is less than 10% of the total issuance (Clean-Up Call) - Where additional reasons for tax burden arise due to the amendment of relevant laws and regulations, etc

(*1) Due to put option exercised by bondholders, EUR 1,038,800,000 was redeemed out of the total face value of exchangeable bonds of EUR 1,065,900,000 for the year ended December 31, 2024.

(*2) The exchange price has changed due to cash dividends paid for the nine-month period ended September 30, 2025.

The Group has designated exchangeable bonds listed on the Singapore Stock Exchange as financial liabilities measured at fair value through profit or loss. The quoted transaction price is used in fair value measurement, and changes in fair value are recognized in profit or loss.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

15. Borrowings (cont'd)

(b) Long-term borrowings, excluding current portion and others, as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	<u>Lenders</u>	<u>Issuance date</u>	<u>Maturity date</u>	<u>Interest rate (%)</u>		<u>September 30, 2025</u>	<u>December 31, 2024</u>
Long-term borrowings	Export-Import Bank of Korea and others	September, 2001~ September, 2025	October, 2026~ March, 2040	1.00~8.50	₩	6,339,568	4,868,703
Less: Present value discount						(49,652)	(51,173)
Bonds	KB Securities co.,Ltd. and others	July, 2019~ September, 2025	October, 2026~ May, 2035	1.77~6.38		9,228,470	10,108,600
Less: Discount on debentures issued						(42,256)	(44,510)
					₩	<u>15,476,130</u>	<u>14,881,620</u>

(c) Assets pledged as collateral with regard to the borrowings as of September 30, 2025 are as follows:

(in millions of Won)

	<u>Lenders</u>	<u>Book value</u>	<u>Pledged amount</u>
Property, plant and equipment and Investment property	Korea Development Bank and others	₩ 3,696,653	4,425,743
Trade accounts and notes receivable	Korea Development Bank and others	148,876	148,876
Financial instruments	Korea Development Bank and others	10,146	10,146
	₩	<u>3,855,675</u>	<u>4,584,765</u>

16. Other Payables

Other payables as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current		
Accounts payable	₩ 1,383,220	1,652,957
Accrued expenses	1,060,340	1,275,068
Dividend payable	3,782	4,182
Lease liabilities	177,094	161,601
Withholdings	347,451	370,063
₩	<u>2,971,887</u>	<u>3,463,871</u>
Non-current		
Accounts payable	₩ 5,364	6,096
Accrued expenses	17,160	11,979
Lease liabilities	1,149,443	744,500
Long-term withholdings	49,172	46,437
₩	<u>1,221,139</u>	<u>809,012</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

17. Other Financial Liabilities

Other financial liabilities as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current			
Derivative liabilities	₩	7,969	108,786
Financial guarantee liabilities		7,575	4,972
Others		7,116	7,117
	₩	<u>22,660</u>	<u>120,875</u>
Non-current			
Derivative liabilities	₩	11,190	2,236
Financial guarantee liabilities		10,964	8,944
Others		59,778	61,740
	₩	<u>81,932</u>	<u>72,920</u>

18. Provisions

(a) Provisions as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>September 30, 2025</u>		<u>December 31, 2024</u>	
		<u>Current</u>	<u>Non-current</u>	<u>Current</u>	<u>Non-current</u>
Provision for bonus payments	₩	92,690	75,591	121,757	70,104
Provision for construction warranties		39,125	143,419	49,659	137,201
Provision for legal contingencies and claims(*1)		5,700	63,876	17,960	78,486
Provision for the restoration		2,959	213,322	10,041	197,810
Others(*2)		247,236	80,333	196,613	96,958
	₩	<u>387,710</u>	<u>576,541</u>	<u>396,030</u>	<u>580,559</u>

(*1) The Group recognized probable outflow of resources amounting to ₩52,122 million and ₩80,220 million as provisions for legal contingencies and asserted claim in relation to lawsuits against the Group as of September 30, 2025 and December 31, 2024, respectively.

(*2) According to the *Act on the promotion of the development, use and diffusion of new and renewable energy*, POSCO INTERNATIONAL Corporation is obliged to supply a certain amount of power generated by new and renewable energy sources. In accordance with the Act, POSCO INTERNATIONAL Corporation estimated the cost required to fulfill its obligations, such as insufficient supply of power using new and renewable energy to be borne, and as of September 30, 2025 and December 31, 2024, the Group recognized ₩58,404 million and ₩64,249 million respectively, as provision.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

18. Provisions (cont'd)

(b) Changes in provisions for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the nine-month period ended September 30, 2025

<i>(in millions of Won)</i>		Beginning	Increase	Utilization	Reversal	Others(*1)	Ending
Provision for bonus payments	₩	191,861	101,328	(107,748)	(16,011)	(1,149)	168,281
Provision for construction warranties		186,860	36,146	(37,317)	(1,958)	(1,187)	182,544
Provision for legal contingencies and claims		96,446	24,986	(13,306)	(36,794)	(1,756)	69,576
Provision for the restoration		207,851	17,694	(1,391)	(7,786)	(87)	216,281
Others		293,571	219,292	(3,974)	(55,674)	(125,646)	327,569
	₩	<u>976,589</u>	<u>399,446</u>	<u>(163,736)</u>	<u>(118,223)</u>	<u>(129,825)</u>	<u>964,251</u>

(*1) Including adjusted foreign currency translation differences and others.

2) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Increase	Utilization	Reversal	Others(*1)	Ending
Provision for bonus payments	₩	184,391	224,339	(187,004)	(29,461)	(404)	191,861
Provision for construction warranties		196,758	53,244	(48,471)	(8,274)	(6,397)	186,860
Provision for legal contingencies and claims		73,062	54,929	(12,964)	(19,743)	1,162	96,446
Provision for the restoration		175,820	28,917	(8,311)	(6,485)	17,910	207,851
Others		257,722	255,624	(151,362)	(76,790)	8,377	293,571
	₩	<u>887,753</u>	<u>617,053</u>	<u>(408,112)</u>	<u>(140,753)</u>	<u>20,648</u>	<u>976,589</u>

(*1) Including transfer to liabilities held for sale, adjusted foreign currency translation differences and others.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

19. Employee Benefits

(a) Defined contribution plans

The expenses related to defined contribution retirement plans for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)	For the three-month periods		For the nine-month periods		
	ended September 30		ended September 30		
	2025	2024	2025	2024	
Expense related to post-employment benefit plans under defined contribution plans	₩	20,238	18,827	57,869	56,227

(b) Defined benefit plans

- 1) The amounts recognized in relation to net defined benefit assets in the statements of financial position as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Present value of funded obligations	₩	2,560,953	2,589,246
Fair value of plan assets(*1)		(2,787,397)	(2,962,342)
Present value of non-funded obligations		14,724	7,092
Net defined benefit liabilities	₩	<u>(211,720)</u>	<u>(366,004)</u>

(*1) As of September 30, 2025 and December 31, 2024, the Group recognized net defined benefit assets amounting to ₩286,490 million and ₩409,147 million, respectively, since there are consolidated entities whose fair value of plan assets exceeded the present value of defined benefit obligations.

- 2) The amounts recognized in relation to net defined benefit plan in the interim condensed consolidated statements of comprehensive income for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

		For the three-month periods ended September 30		For the nine-month periods ended September 30	
(in millions of Won)		2025	2024	2025	2024
Current service costs	₩	66,859	66,208	203,801	199,556
Net interest costs		(4,669)	(5,590)	(12,560)	(16,175)
	₩	62,190	60,618	191,241	183,381

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

20. Other Liabilities

Other liabilities as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current			
Due to customers for contract work	₩	544,002	491,495
Advances received		384,073	253,171
Unearned revenue		114,304	87,969
Withholdings		204,998	307,753
Firm commitment liability		2,246	10,384
Others(*1)		23,593	22,726
	₩	<u>1,273,216</u>	<u>1,173,498</u>
Non-current			
Unearned revenue	₩	2,416	4,317
Others(*1)		94,465	94,942
	₩	<u>96,881</u>	<u>99,259</u>

(*1) As of September 30, 2025 and December 31, 2024, the Group recognized the assumed liability amounting to ₩35,299 million and ₩41,770 million, respectively, related to unfavorable terms of a customer contract compared to market-terms upon the acquisition of Senex Energy Limited.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

21. Financial Instruments

(a) Classification and fair value of financial instruments

- 1) The carrying amounts and fair values of financial assets and financial liabilities by levels in the fair value hierarchy as of September 30, 2025 and December 31, 2024 are as follows:

① September 30, 2025

(in millions of Won)		Fair value			
	Book value	Level 1	Level 2	Level 3	Total
Financial assets					
Fair value through profit or loss					
Derivative assets	₩ 440,552	-	440,552	-	440,552
Short-term financial instruments	822,162	-	822,162	-	822,162
Equity securities	79,844	15,219	-	64,625	79,844
Debt securities	125,685	-	86,908	38,777	125,685
Other securities	744,878	-	-	744,878	744,878
Derivative hedging instruments(*2)	5,570	-	5,570	-	5,570
Fair value through other comprehensive income					
Equity securities	1,417,934	825,477	47	592,410	1,417,934
Assets held for sale	225,724	225,724	-	-	225,724
Financial assets measured at amortized cost(*1)					
Cash and cash equivalents	7,168,846	-	-	-	-
Trade accounts and notes receivable	9,950,985	-	-	-	-
Other receivables	3,291,101	-	-	-	-
Debt securities	927,370	-	-	-	-
Deposit instruments	6,964,748	-	-	-	-
Assets held for sale	30,551	-	-	-	-
	₩ 32,195,950	1,066,420	1,355,239	1,440,690	3,862,349
Financial liabilities					
Fair value through profit or loss					
Derivative liabilities	₩ 17,749	-	17,749	-	17,749
Borrowings	43,426	43,426	-	-	43,426
Derivative hedging instruments(*2)	1,410	-	1,410	-	1,410
Financial liabilities measured at amortized cost(*1)					
Trade accounts and notes payable	5,240,244	-	-	-	-
Borrowings	27,421,204	-	27,667,643	-	27,667,643
Financial guarantee liabilities	18,539	-	-	-	-
Others	3,600,021	-	-	-	-
Other financial Liabilities	66,894	-	-	-	-
	₩ 36,409,487	43,426	27,686,802	-	27,730,228

(*1) The fair values of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(*2) The Group applies hedge accounting which uses forward contracts as hedging instruments in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instruments in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

21. Financial Instruments (cont'd)

② December 31, 2024

(in millions of Won)

(in millions of Won)

		Book value	Fair value			
			Level 1	Level 2	Level 3	Total
Financial assets						
Fair value through profit or loss						
Derivative assets	₩	946,393	-	946,393	-	946,393
Short-term financial instruments		1,212,643	-	1,212,643	-	1,212,643
Equity securities		52,222	26,792	-	25,430	52,222
Debt securities		113,728	-	82,699	31,029	113,728
Other securities		762,177	-	-	762,177	762,177
Derivative hedging instruments(*2)		16,483	-	16,483	-	16,483
Fair value through other comprehensive income						
Equity securities		1,119,322	703,181	-	416,141	1,119,322
Assets held for sale		604,439	604,439	-	-	604,439
Financial assets measured at amortized cost(*1)						
Cash and cash equivalents		6,767,898	-	-	-	-
Trade accounts and notes receivable		9,374,217	-	-	-	-
Other receivables		2,739,523	-	-	-	-
Debt securities		402,644	-	-	-	-
Deposit instruments		6,445,428	-	-	-	-
	₩	30,557,117	1,334,412	2,258,218	1,234,777	4,827,407
Financial liabilities						
Fair value through profit or loss						
Derivative liabilities	₩	105,187	-	105,187	-	105,187
Borrowings		39,053	39,053	-	-	39,053
Derivative hedging instruments(*2)		5,835	-	5,835	-	5,835
Financial liabilities measured at amortized cost(*1)						
Trade accounts and notes payable		6,161,177	-	-	-	-
Borrowings		25,958,314	-	26,166,994	-	26,166,994
Financial guarantee liabilities		13,916	-	-	-	-
Others		3,895,526	-	-	-	-
Other financial Liabilities		68,857	-	-	-	-
	₩	36,247,865	39,053	26,278,016	-	26,317,069

(*1) The fair values of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(*2) The Group applies hedge accounting which uses forward contracts as hedging instruments in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instruments in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

2) Finance income and costs by category of financial instrument for each of the nine-month periods ended September 30, 2025 and 2024 are as follows:

① For the nine-month period ended September 30, 2025

(in millions of Won)

		Finance income and costs					Other comprehensive income (loss)
		Interest income (expense)	Loss on valuation	Gain (loss) on foreign currency	Gain (loss) on disposal	Others	
Financial assets at fair value through profit or loss	₩	-	(5,204)	-	39,593	1,216	-
Derivative assets		-	(95,183)	-	137,134	-	-
Financial assets at fair value through other comprehensive income		-	-	-	-	31,687	198,190
Financial assets measured at amortized cost		366,722	-	(285,967)	(58,381)	(1,064)	-
Financial liabilities at fair value through profit or loss		-	(1,315)	3,057	-	-	-
Derivative liabilities		-	(15,471)	-	(306,774)	-	(146)
Financial liabilities measured at amortized cost		(791,825)	-	424,376	-	(29,486)	-
	₩	(425,103)	(117,173)	141,466	(188,428)	2,353	198,044

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

21. Financial Instruments (cont'd)

② For the nine-month period ended September 30, 2024

(in millions of Won)

		Finance income and costs					Other comprehensive loss	
		Interest income (expense)	Gain on valuation	Gain (loss) on foreign currency	Gain (loss) on disposal	Others	Total	
Financial assets at fair value through profit or loss	₩	-	109,930	-	92,375	819	203,124	-
Derivative assets		-	165,915	-	238,056	-	403,971	-
Financial assets at fair value through other comprehensive income		-	-	-	-	71,811	71,811	(27,453)
Financial assets measured at amortized cost		446,113	-	293,084	(57,778)	(3,834)	677,585	-
Financial liabilities at fair value through profit or loss		-	236,931	(56,301)	(6,258)	-	174,372	-
Derivative liabilities		-	25,903	-	(210,968)	-	(185,065)	(443)
Financial liabilities measured at amortized cost		(787,113)	-	(421,586)	-	(22,701)	(1,231,400)	-
	₩	(341,000)	538,679	(184,803)	55,427	46,095	114,398	(27,896)

(b) Financial risk management

The Group is exposed to credit risk, liquidity risk and market risk arising from financial assets and liabilities. The Group's financial risk management objectives and policies are consistent with those disclosed in the consolidated financial statements as of and for the year ended December 31, 2024.

22. Share Capital and Capital Surplus

(a) Details of share capital as of September 30, 2025 and December 31, 2024 are as follows:

(Share, in Won)		September 30, 2025	December 31, 2024
Authorized shares		200,000,000	200,000,000
Par value	₩	5,000	5,000
Issued shares(*1,2)		80,932,952	82,624,377
Share capital(*3)	₩	482,403,125,000	482,403,125,000

(*1) As of September 30, 2025, total number of American Depositary Receipts (ADRs) outstanding in overseas stock market amounts to 8,670,448 and such ADRs are equivalent to 2,167,612 shares of common stock.

(*2) Pursuant to the resolution of the Board of Directors' meeting on February 19, 2025, the Company decided to retire 1,691,425 shares using distributable profits, and it was completed on March 31, 2025. As a result, as of September 30, 2025, the Company's total number of issued shares has decreased.

(*3) As of September 30, 2025, the difference between the ending balance of common stock and the aggregate par value of issued common stock is ₩77,738 million due to retirement of 15,547,673 treasury stocks.

(b) Details of capital surplus as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)		September 30, 2025	December 31, 2024
Share premium	₩	463,825	463,825
Gain on disposal of treasury shares		808,994	808,994
Other capital surplus		403,885	376,075
	₩	1,676,704	1,648,894

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

23. Other components of equity

Details of other components of equity as of September 30, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		September 30, 2025	December 31, 2024
Capital adjustment arising from investments in equity-accounted investees	₩	(4,382)	76,870
Changes in fair value of equity investments at fair value through other comprehensive income		215,434	20,066
Foreign currency translation differences		711,074	983,071
Losses on valuation of derivatives		(1,071)	(925)
Others		78,903	76,347
	₩	<u>999,958</u>	<u>1,155,429</u>

24. Treasury Shares

Based on the Board of Directors' resolution, the Group holds treasury shares for business purposes including price stabilization. Changes in treasury shares for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

<i>(shares, in millions of Won)</i>	September 30, 2025		December 31, 2024	
	Number of shares	Amount	Number of shares	Amount
Beginning	7,003,598	₩ 1,550,862	8,695,023	₩ 1,889,658
Acquisition of treasury shares	-	-	255,428	92,311
Retirement of treasury shares	(1,691,425)	(374,545)	(1,946,853)	(431,107)
Ending	<u>5,312,173</u>	<u>₩ 1,176,317</u>	<u>7,003,598</u>	<u>₩ 1,550,862</u>

25. Revenue

(a) Disaggregation of revenue

1) Details of revenue disaggregated by types of revenue and timing of revenue recognition for each of the nine-month periods ended September 30, 2025 and 2024 are as follows:

① For the nine-month period ended September 30, 2025

<i>(in millions of Won)</i>	Infrastructure						Total
	Steel	Trading	Construction	Logistics and others	Rechargeable battery materials	Others	
Types of revenue							
Revenue from sales of goods	₩ 27,436,343	16,202,144	-	1,855	1,709,678	-	45,350,020
Revenue from services	639,124	1,801,935	98,932	176,900	2,328	6,396	2,725,615
Revenue from construction contract	-	-	3,944,594	-	34,403	-	3,978,997
Others	109,752	3,727	8,808	33,437	12,191	30,858	198,773
	<u>₩ 28,185,219</u>	<u>18,007,806</u>	<u>4,052,334</u>	<u>212,192</u>	<u>1,758,600</u>	<u>37,254</u>	<u>52,253,405</u>
Timing of revenue recognition							
Revenue recognized at a point in time	₩ 27,546,095	16,205,871	273,188	35,292	1,721,869	30,858	45,813,173
Revenue recognized over time	639,124	1,801,935	3,779,146	176,900	36,731	6,396	6,440,232
	<u>₩ 28,185,219</u>	<u>18,007,806</u>	<u>4,052,334</u>	<u>212,192</u>	<u>1,758,600</u>	<u>37,254</u>	<u>52,253,405</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

25. Revenue (cont'd)

② For the nine-month period ended September 30, 2024

(in millions of Won)

(in millions of Won)		Infrastructure				Rechargeable battery materials	Others	Total
		Steel	Trading	Construction	Logistics and others			
Types of revenue								
Revenue from sales of goods	₩	28,642,479	15,009,876	-	5,988	2,297,474	-	45,955,817
Revenue from services		663,205	2,186,302	94,133	240,144	3,424	9,425	3,196,633
Revenue from construction contract		-	-	5,451,805	-	20,975	-	5,472,780
Others		131,090	4,588	40,696	33,180	-	48,215	257,769
	₩	29,436,774	17,200,766	5,586,634	279,312	2,321,873	57,640	54,882,999
Timing of revenue recognition								
Revenue recognized at a point in time	₩	28,773,569	15,014,464	308,117	39,168	2,297,474	48,215	46,481,007
Revenue recognized over time		663,205	2,186,302	5,278,517	240,144	24,399	9,425	8,401,992
	₩	29,436,774	17,200,766	5,586,634	279,312	2,321,873	57,640	54,882,999

2) Details of revenue disaggregated by types of revenue and timing of revenue recognition for each of the three-month periods ended September 30, 2025 and 2024 are as follows:

① For the three-month period ended September 30, 2025

(in millions of Won)

(in millions of Won)		Green Infrastructure				Rechargeable battery materials	Others	Total
		Steel	Trading	Construction	Logistics and others			
Types of revenue								
Revenue from sales of goods	₩	9,246,116	5,339,767	-	-	640,008	-	15,225,891
Revenue from services		218,793	589,728	36,192	64,877	1,929	(222)	911,297
Revenue from construction contract		-	-	1,057,022	-	12,242	-	1,069,264
Others		25,059	1,304	3,302	10,440	12,191	2,293	54,589
	₩	9,489,968	5,930,799	1,096,516	75,317	666,370	2,071	17,261,041
Timing of revenue recognition								
Revenue recognized at a point in time	₩	9,271,175	5,341,071	164,755	10,440	652,199	2,293	15,441,933
Revenue recognized over time		218,793	589,728	931,761	64,877	14,171	(222)	1,819,108
	₩	9,489,968	5,930,799	1,096,516	75,317	666,370	2,071	17,261,041

② For the three-month period ended September 30, 2024

(in millions of Won)

(in millions of Won)		Green Infrastructure				Rechargeable battery materials	Others	Total
		Steel	Trading	Construction	Logistics and others			
Types of revenue								
Revenue from sales of goods	₩	9,511,165	5,361,162	-	962	706,106	-	15,579,395
Revenue from services		230,462	597,703	36,070	74,161	908	4,635	943,939
Revenue from construction contract		-	-	1,692,966	-	7,367	-	1,700,333
Others		38,596	1,500	31,871	10,874	-	14,860	97,701
	₩	9,780,223	5,960,365	1,760,907	85,997	714,381	19,495	18,321,368
Timing of revenue recognition								
Revenue recognized at a point in time	₩	9,549,761	5,362,662	118,190	11,836	706,106	14,860	15,763,415
Revenue recognized over time		230,462	597,703	1,642,717	74,161	8,275	4,635	2,557,953
	₩	9,780,223	5,960,365	1,760,907	85,997	714,381	19,495	18,321,368

(b) Details of contract assets and liabilities from contracts with customers as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	September 30, 2025	December 31, 2024
Receivables		
Trade accounts and notes receivable	₩ 9,950,985	9,374,218
Contract assets		
Due from customers for contract work	1,510,935	1,475,180
Contract liabilities		
Advance received	387,973	256,522
Due to customers for contract work	544,002	491,495
Unearned revenue	112,662	89,807

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

26. Contract under Input Method

(a) Details of outstanding contracts as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	September 30, 2025		December 31, 2024	
	Construction segment	Others	Construction segment	Others
Accumulated cost	₩ 20,077,080	282,353	27,830,242	262,814
Accumulated contract profit	1,501,312	57,502	1,903,582	43,690
Accumulated contract loss	(627,316)	(12,591)	(707,167)	(1,930)
Accumulated contract revenue	20,951,076	327,264	29,026,657	304,574

(b) Details of due from customers for contract works and due to customers for contract works as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	September 30, 2025		December 31, 2024	
	Construction segment	Others	Construction segment	Others
Due from customers for contract	₩ 1,479,418	41,550	1,473,843	13,716
Due to customers for contract work	(540,068)	(3,934)	(479,546)	(11,949)
	₩ 939,350	37,616	994,297	1,767

(c) Details of the provisions for construction loss as of September 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	September 30, 2025	December 31, 2024
Construction segment	₩ 84,816	52,492
Others	795	857
	₩ 85,611	53,349

(d) For the nine-month period ended September 30, 2025, the total contract revenues and the estimated total contract costs have changed and the impact of such changes on profit before income tax for the current and future periods are as follows:

(in millions of Won)

		Changes in total contract revenue	Changes in estimated total contract costs	Changes in profit (loss) of contract		
				Net income (loss)	Future income	Total
Construction segment	₩	1,174,999	1,115,898	(256,632)	315,733	59,101
Others		2,173	(23)	1,962	234	2,196
	₩	1,177,172	1,115,875	(254,670)	315,967	61,297

The above details of impact on profit for the current and future periods are calculated based on the total contract costs estimated considering the events that occurred for the period from the commencement date of the contract to September 30, 2025 and the estimated total contract revenue as of September 30, 2025. The estimated total contract costs and revenue are subject to change in future periods.

26. Contract under Input Method (cont'd)

(e) Uncertainty of estimates

1) Total contract revenues

Total contract revenues are measured based on contractual amount initially agreed. However, the contract revenues can increase due to additional contract work, claims and incentive payments, or decrease due to penalty when the completion of contract is delayed due to the Group's fault. Therefore, this measurement of contract revenues is affected by the uncertainty of the occurrence of future events.

2) Total contract costs

Contract revenues are recognized based on the percentage of completion, which is measured on the basis of the gross cost amount incurred to date. Total contract costs are estimated based on estimates of future material costs, labor costs, outsourcing costs. There is uncertainty in estimates on future contract costs due to various internal and external factors such as fluctuation of market, the risk of business partner and the experience of project performance and others. The significant assumptions including uncertainty of the estimate of total contract costs are as follows:

	Method of significant assumption
Material cost	Based on recent purchasing price at market price
Labor cost	Based on average monthly and daily labor cost
Outsourcing cost	Based on historical cost over similar project and actual contractual rate

Management reviews estimated contract costs at each reporting period end and adjusts them, if necessary.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

27. Selling and Administrative Expenses

(a) Other administrative expenses

Other administrative expenses for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)	For the three-month periods ended September 30		For the nine-month periods ended September 30	
	2025	2024	2025	2024
Wages and salaries	₩ 304,411	297,320	892,312	873,799
Expenses related to post-employment benefits	22,482	24,759	68,631	71,209
Other employee benefits	71,358	77,473	227,088	226,982
Travel	14,125	11,890	40,384	34,320
Depreciation	41,319	43,174	130,901	127,215
Amortization	29,311	28,291	86,357	84,913
Communication	2,751	3,902	9,003	10,211
Electricity	4,721	3,723	13,000	10,679
Taxes and public dues	20,116	14,239	74,739	63,070
Rental	9,020	10,871	29,642	32,929
Repairs	2,902	4,608	8,197	12,526
Entertainment	3,057	3,106	9,266	9,851
Advertising	25,317	24,195	67,531	69,509
Research & development	46,999	52,253	141,164	156,263
Service fees	50,086	48,226	180,810	174,380
Vehicles maintenance	1,760	2,064	5,955	6,035
Industry association fee	2,194	2,217	9,471	8,603
Conference	5,369	5,497	17,280	15,893
Bad debt expenses	42,285	34,549	83,486	56,452
Others	18,344	25,579	46,986	56,744
	₩ 717,927	717,936	2,142,203	2,101,583

(b) Selling expenses

Selling expenses for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)	For the three-month periods ended September 30		For the nine-month periods ended September 30	
	2025	2024	2025	2024
Freight and custody expenses	₩ 9,704	7,281	20,672	21,183
Operating expenses for distribution center	83	765	457	1,384
Sales commissions	27,101	17,222	66,475	58,979
Sales advertising	377	1,351	779	1,790
Sales promotion	2,561	2,329	7,614	7,536
Sample	441	744	1,773	1,869
Sales insurance premium	7,776	8,300	26,401	23,983
Contract cost	6,896	4,373	44,450	26,447
Others	4,429	3,039	12,091	7,394
	₩ 59,368	45,404	180,712	150,565

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

28. Finance Income and Costs

Details of finance income and costs for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)		For the three-month periods ended September 30		For the nine-month periods ended September 30	
		2025	2024	2025	2024
Finance income					
Interest income	₩	114,497	144,378	366,722	446,113
Dividend income		4,134	49,416	32,903	72,630
Gain on foreign currency transactions		306,200	332,979	939,755	965,803
Gain on foreign currency translations		(263,855)	321,449	660,419	786,405
Gain on derivatives transactions		57,874	117,868	211,577	261,701
Gain on valuations of derivatives		(8,316)	(262,408)	15,618	252,873
Gain on disposals of financial assets at fair value through profit or loss		11,666	33,886	42,983	108,613
Gain on valuations of financial assets at fair value through profit or loss		2,723	27,748	18,529	154,385
Gain on valuations of financial liabilities at fair value through profit or loss		-	2,713	-	236,931
Others		2,297	3,364	7,446	8,262
	₩	227,220	771,393	2,295,952	3,293,716
Finance costs					
Interest expenses	₩	266,566	268,101	791,825	787,113
Loss on foreign currency transactions		273,528	375,354	982,274	929,150
Loss on foreign currency translations		(3,415)	(17,473)	476,434	1,007,861
Loss on derivatives transactions		141,980	92,673	381,217	234,613
Loss on valuation of derivatives		(369,695)	(2,558)	126,272	61,055
Loss on disposal of trade accounts and notes receivable		17,432	19,429	58,381	57,778
Loss on disposals of financial assets at fair value through profit or loss		54	741	3,390	16,238
Loss on valuations of financial assets at fair value through profit or loss		7,182	17,317	23,733	44,455
Loss on valuations of financial liabilities at fair value through profit or loss		312	-	1,315	-
Others		9,634	14,362	37,996	41,055
	₩	343,578	767,946	2,882,837	3,179,318

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

29. Other Non-Operating Income and Expenses

Details of other non-operating income and expenses for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)

	For the three-month periods ended September 30		For the nine-month periods ended September 30	
	2025	2024	2025	2024
Other non-operating income				
Recovery of other bad debt expenses	₩ 2,131	3,184	3,780	6,875
Gain on disposals of investment in subsidiaries, associates and joint ventures	4,205	2,494	29,178	9,590
Gain on disposals of property, plant and equipment	10,021	2,029	32,039	14,079
Gain on disposal of assets held for sale	1,524	705	53,672	705
Gain on valuation of firm commitment	6,760	10,586	25,415	41,909
Reversal of other provisions	-	5,803	7,427	8,043
Insurance benefit income	8,791	175	10,675	782
Gain on disposals of emission rights	4	(13,341)	8	2
Others	18,363	43,262	73,126	99,608
	<u>₩ 51,799</u>	<u>54,897</u>	<u>235,320</u>	<u>181,593</u>
Other non-operating expenses				
Other bad debt expenses	₩ 6,996	8,861	20,486	20,460
Loss on disposals of investments in subsidiaries, associates and joint ventures	30,512	(55)	31,264	42,539
Loss on disposals of property, plant and equipment	29,112	19,951	82,146	56,291
Impairment loss on property, plant and equipment	(12)	116,278	113,147	179,400
Impairment loss on intangible assets	16,770	351	42,448	362
Loss on disposal of assets held for sale(*1)	5,624	18	6,277	34,830
Loss on valuation of firm commitment	465	9,222	20,785	28,366
Donations	33,060	6,353	64,910	41,424
Idle tangible asset expenses	1,311	(422)	3,797	1,919
Increase to provisions	3,909	6,646	8,552	13,839
Others	22,165	11,204	59,867	53,790
	<u>₩ 149,912</u>	<u>178,407</u>	<u>453,679</u>	<u>473,220</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

30. Expenses by Nature

Expenses that are recorded by nature as cost of sales, selling and administrative expenses, impairment loss on other receivables and other non-operating expenses in the statements of comprehensive income for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows (excluding finance costs and income tax expense):

(in millions of Won)

	For the three-month periods ended September 30		For the nine-month periods ended September 30	
	2025	2024	2025	2024
Raw material used, changes in inventories and others ₩	11,139,744	11,559,948	30,593,613	32,047,240
Employee benefits expenses	1,310,035	1,223,901	3,782,542	3,640,771
Outsourced processing cost	1,998,278	2,463,406	6,324,245	7,785,600
Electricity and water expenses	350,904	277,401	1,028,808	860,611
Depreciation(*1)	922,491	941,483	2,740,683	2,629,545
Amortization	105,762	115,833	326,815	352,394
Freight and custody expenses	420,214	637,633	1,787,684	1,881,609
Sales commissions	27,101	17,222	66,475	58,979
Loss on disposal of property, plant and equipment	29,112	19,951	82,146	56,291
Impairment loss on property, plant and equipment	(12)	116,278	113,147	179,400
Impairment loss on intangible assets	16,770	351	42,448	362
Donations	33,060	6,353	64,910	41,424
Other expenses	418,728	376,848	3,939,188	3,743,804
₩	<u>16,772,187</u>	<u>17,756,608</u>	<u>50,892,704</u>	<u>53,278,030</u>

(*1) Including depreciation of investment property.

31. Income Taxes

The effective tax rates of the Group for each of the nine-month periods ended September 30, 2025 and 2024 are 35.08% and 22.98%, respectively.

(a) Application of the Consolidated Tax Payment System

In 2025, the Group has applied the consolidated tax payment system, under which a controlling company and its domestic subsidiaries, if economically integrated, are treated as a single tax entity for corporate income tax purposes. Under this system, the controlling company, as the consolidated parent entity, is responsible for filing and paying the corporate income tax on behalf of the entire consolidated group. After payment, the parent company collects the corresponding tax amounts from each domestic subsidiary.

Domestic and foreign subsidiaries that are not included in the consolidated tax payment system calculate and pay corporate income tax based on each legal entity as a separate tax unit.

Deferred tax assets and deferred tax liabilities of entities included in the consolidated tax payment system are offset when the Group has a legally enforceable right to offset current tax assets against current tax liabilities, and the deferred tax assets and liabilities relate to income taxes levied by the same tax authority and there is an intention to settle them on a net basis.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

31. Income Taxes (cont'd)

(b) Global minimum tax

In 2023, Pillar Two legislation has been enacted in the Republic of Korea, where the controlling company is domiciled, which is effective for the fiscal years starting on or after January 1, 2024. Accordingly, the Group calculated the Pillar Two income tax expense for the nine-month period ended September 30, 2025 as it is subject to global minimum tax under the OECD's Pillar Two Model Rules. The Group reviewed subsidiaries qualifying as taxpayers, including the controlling company

and, as a result, did not recognize any income tax expense for the nine-month period ended September 30, 2025 as the impact of the global minimum tax on the consolidated financial statements as of September 30, 2025 would not be significant. Furthermore, the Group applies temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two Model Rules as prescribed in KIFRS 1012 *Income Taxes*. Accordingly, it did not recognize deferred tax assets and liabilities related to the global minimum tax and does not disclose information related to deferred income tax.

32. Earnings per Share

(a) Basic earnings per share for each of the three-month and nine-month periods ended September 30, 2025 and 2024 are as follows:

(in Won, except per share information)

		For the three-month periods ended September 30		For the nine-month periods ended September 30	
		2025	2024	2025	2024
Profit attributable to controlling interest	₩	420,845,012,935	452,654,013,695	883,005,591,639	1,523,302,524,204
Weighted-average number of common shares outstanding(*1)		75,620,779	75,699,376	75,620,779	75,816,833
Basic earnings per share	₩	5,565	5,980	11,677	20,092

(*1) The weighted-average number of common shares used to calculate basic earnings per share is as follows:

(shares)

	For the three-month periods ended September 30		For the nine-month periods ended September 30	
	2025	2024	2025	2024
Total number of common shares issued	80,932,952	83,297,040	81,490,565	84,143,400
Weighted-average number of treasury shares	(5,312,173)	(7,597,664)	(5,869,786)	(8,326,567)
Weighted-average number of common shares outstanding	75,620,779	75,699,376	75,620,779	75,816,833

The Group has exchangeable bonds that can be exchanged for common stocks with dilutive effects as of September 30, 2025. The diluted earnings per share for the nine-month period ended September 30, 2025 is the same as the basic earnings per share due to the anti-dilutive effect.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

32. Earnings per Share (cont'd)

(b) Diluted earnings per share for the three-month and nine-month period ended September 30, 2024 are calculated as follows:

<i>(in Won, except share information)</i>		For the three-month period ended September 30, 2024	For the nine-month period ended September 30, 2024
Profit attributable to controlling interest	₩	452,654,013,695	1,523,302,524,204
Loss on revaluation of exchangeable bonds considering exchange rates		(8,425,258,347)	(138,904,137,256)
Adjusted weighted-average number of common shares outstanding(*1)		78,013,947	78,757,791
Diluted earnings per share	₩	5,694	17,578

(*1) The weighted-average number of common shares outstanding used to calculate diluted earnings per share is as follows:

<i>(shares)</i>		For the three-month period ended September 30, 2024	For the nine-month period ended September 30, 2024
Weighted-average number of common shares outstanding		75,699,376	75,816,833
Weighted-average number of potential common shares		<u>2,314,571</u>	<u>2,940,958</u>
Adjusted weighted-average number of common shares		<u><u>78,013,947</u></u>	<u><u>78,757,791</u></u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

33. Related Party Transactions

(a) Related parties of the Group as of September 30, 2025 are as follows:

Type	Company
Investments in associates and joint ventures	[Domestic] POSCO MC MATERIALS, Samcheok Blue Power Co.,Ltd., SNNC and others.
	[Foreign] Roy Hill Holdings Pty Ltd, POSCO-NPS Niobium LLC, KOBRASCO, PT NICOLE METAL INDUSTRY, HBIS-POSCO Automotive Steel Co.,Ltd, South-East Asia Gas Pipeline Company Ltd., 9404-5515 Quebec Inc., KOREA LNG LTD., Nickel Mining Company SAS and others.

(b) Material transactions between the Group and the related parties for each of the nine-month periods ended September 30, 2025 and 2024 are as follows:

1) For the nine-month period ended September 30, 2025

(in millions of Won)

	Sales and others(*1)			Purchase and others	
	Sales	Dividends	Others	Purchase of material	Others
Associates and joint ventures(*1)					
New Songdo International City Development, LLC	₩ 46,194	-	-	-	54
SNNC	68,058	-	512	428,954	3,509
POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER	42,637	-	-	4	-
Gunggi Green Energy	7,103	-	-	-	938
POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd	8,759	-	-	-	-
POS SeAH Steel Wire(Nantong) Co., Ltd.	39,878	-	-	258	-
South-East Asia Gas Pipeline Company Ltd.	-	26,653	-	-	-
POSCO MC MATERIALS	101,698	3,000	1,486	4,937	557
Samcheok Blue Power Co., Ltd.	202,841	2,795	352	-	684
POSCO(Guangdong) Automotive Steel Co., Ltd	149,410	-	-	186,803	-
HBIS-POSCO Automotive Steel Co., Ltd	20,819	-	-	29,313	-
Roy Hill Holdings Pty Ltd	-	164,092	-	1,102,161	-
Others	157,492	98,867	1,372	312,156	37,346
	₩ 844,889	295,407	3,722	2,064,586	43,088

(*1) As of September 30, 2025, the Group provides payment guarantees to the related parties (see Note 34).

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

33. Related Party Transactions (cont'd)

2) For the nine-month period ended September 30, 2024

(in millions of Won)

(in millions of Won)

	Sales and others(*1)			Purchase and others		
	Sales	Dividends	Others	Purchase of material	Others	
Associates and joint ventures(*1)						
New Songdo International City Development, LLC	₩	163,004	-	1,427	-	136
SNNC		84,760	-	12	273,107	1,342
POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER		37,595	-	-	782	-
Gunggi Green Energy		24,803	-	-	-	5,238
POS-SEAHSTEELWIRE (TIANJIN)CO.,Ltd		10,106	-	-	-	-
POSCO SeAH Steel Wire(Nantong) Co., Ltd.		38,199	-	-	241	-
South-East Asia Gas Pipeline Company Ltd.		-	41,843	-	-	-
POSCO MC MATERIALS		99,021	1,800	-	5,324	303
Samcheok Blue Power Co., Ltd.		234,445	8,208	687	-	-
Pocheon-Hwado Highway Corp.		56,516	-	-	-	1
POSCO(Guangdong) Automotive Steel Co., Ltd		209,708	-	-	237,225	-
HBIS-POSCO Automotive Steel Co., Ltd		32,117	-	-	16,714	-
Roy Hill Holdings Pty Ltd		249	253,262	9,680	1,362,711	-
Others		83,752	105,101	3,957	145,873	242,498
	₩	1,074,275	410,214	15,763	2,041,977	249,518

(*1) As of September 30, 2024, the Group provides payment guarantees to the related parties (see Note 34).

(c) The balances of receivables and payables arising from significant transactions between the Group and the related parties as of September 30, 2025 and December 31, 2024 are as follows:

1) September 30, 2025

(in millions of Won)

(in millions of Won)		Receivables(*1)				Payables		
		Trade accounts and notes receivable	Loans	Others	Total	Trade accounts and notes payable	Others	Total
Associates and joint ventures								
New Songdo International City Development, LLC	₩	32,267	-	1,651	33,918	-	3,827	3,827
Gunggi Green Energy		13,216	-	14,831	28,047	-	813	813
POSCO(Guangdong) Automotive Steel Co., Ltd		38,960	10,018	-	48,978	37,691	-	37,691
AMCI (WA) PTY LTD		-	141,482	-	141,482	-	-	-
HBIS-POSCO Automotive Steel Co.,Ltd		4,277	-	-	4,277	4,394	524	4,918
POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd		3,549	-	-	3,549	-	-	-
Samcheok Blue Power Co., Ltd.		271,108	-	177	271,285	-	385	385
Nickel Mining Company SAS		-	74,003	3,126	77,129	-	358	358
POS-SeAH Steel Wire(Nantong) Co., Ltd.		14,103	-	-	14,103	145	-	145
POSCO MC MATERIALS		11,348	-	194	11,542	890	439	1,329
Pocheon-Hwado Highway Corp.		5,491	-	-	5,491	-	2	2
UTrans LRT Co., Ltd.		-	39,333	96	39,429	-	-	-
Roy Hill Holdings Pty Ltd		36,895	-	9,224	46,119	339,025	-	339,025
SNNC		11,289	-	53	11,342	10,655	437	11,092
FQM Australia Holdings Pty Ltd		-	283,321	-	283,321	-	-	-
Others		26,849	20,481	135,037	182,367	47,701	79,452	127,153
	₩	469,352	568,638	164,389	1,202,379	440,501	86,237	526,738

(*1) As of September 30, 2025, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩515,005 million.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

33. Related Party Transactions (cont'd)

2) December 31, 2024

(in millions of Won)

(in millions of Won)		Receivables(*1)				Payables				
		Trade accounts and notes receivable		Loans	Others	Total	Trade accounts and notes receivable		Others	Total
Associates and joint ventures										
New Songdo International City Development, LLC	₩	96,730	-	1,657	98,387	-	-	30,087	-	30,087
Gunggi Green Energy		5,846	-	10,706	16,552	-	-	567	-	567
POSCO(Guangdong) Automotive Steel Co., Ltd		46,547	6,162	-	52,709	48,866	-	-	-	48,866
AMCI (WA) PTY LTD		-	142,767	-	142,767	-	-	-	-	-
HBIS-POSCO Automotive Steel Co.,Ltd		13,924	-	-	13,924	5,483	-	1,922	-	7,405
POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd		5,970	-	-	5,970	-	-	-	-	-
Samcheok Blue Power Co., Ltd.		189,173	-	148	189,321	-	-	77,187	-	77,187
Nickel Mining Company SAS		-	68,793	122	68,915	-	-	358	-	358
POS-Seah Steel Wire(Nantong) Co., Ltd.		19,628	-	-	19,628	-	-	-	-	-
POSCO MC MATERIALS		14,544	-	168	14,712	1,314	-	357	-	1,671
Pocheon-Hwado Highway Corp.		10,985	-	-	10,985	-	-	-	-	-
UITrans LRT Co., Ltd.		13,592	51,051	9,187	73,830	-	-	-	-	-
Roy Hill Holdings Pty Ltd		25,023	-	8,836	33,859	356,234	-	25	-	356,259
SNMC		12,861	-	70	12,931	10,322	-	1,298	-	11,620
FQM Australia Holdings Pty Ltd		-	292,764	-	292,764	-	-	-	-	-
Others		27,728	19,730	138,239	185,697	10,168	-	10,129	-	20,297
	₩	482,551	581,267	169,133	1,232,951	432,387	-	121,930	-	554,317

(*1) As of December 31, 2024, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩506,673 million.

(d) Major financial transactions between the Group and the related parties for the nine-month period ended September 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the nine-month period ended September 30, 2025

(in millions of Won)

		Beginning	Lend	Collect	Others(*1)	Ending
Associates and joint ventures						
UITrans LRT Co., Ltd.	₩	51,051	-	(11,718)	-	39,333
PT. Tanggamus Electric Power		3,854	-	(2,454)	1,712	3,112
Nickel Mining Company SAS		68,793	-	-	5,210	74,003
KRAKATAU POS-CHEM DONG-SUH CHEMICAL		1,470	-	(1,413)	(57)	-
Hyo-chun Co., Ltd.		2,382	-	-	413	2,795
AMCI (WA) PTY LTD		142,767	68	(2,662)	1,309	141,482
POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD		5,636	-	(1,369)	(134)	4,133
FQM Australia Holdings Pty Ltd		292,764	-	-	(9,443)	283,321
POHANG E&E Co., LTD		3,228	1,344	-	-	4,572
POSCO(Guangdong) Automotive Steel Co., Ltd.		6,162	47,751	(43,785)	(110)	10,018
Gale International Korea, LLC		100	234	-	-	334
P&O Chemical Co., Ltd.		3,060	-	-	(3,060)	-
CAML		-	5,433	-	102	5,535
	₩	581,267	54,830	(63,401)	(4,058)	568,638

(*1) Including adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

(in millions of Won)

		Beginning	Lend	Collect	Others(*1)	Ending
Associates and joint ventures						
UITrans LRT Co., Ltd.	₩	46,335	4,718	-	(2)	51,051
PT. Tanggamus Electric Power		4,826	-	(1,288)	316	3,854
Nickel Mining Company SAS		64,197	-	-	4,596	68,793
KRAKATAU POS-CHEM DONG-SUH CHEMICAL		2,579	-	(1,379)	270	1,470
Hyo-chun Co., Ltd.		2,382	-	-	-	2,382
AMCI (WA) PTY LTD		112,177	6,499	-	24,091	142,767
POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD		5,158	-	-	478	5,636
FQM Australia Holdings Pty Ltd		256,938	3,126	-	32,700	292,764
POHANG E&E Co., LTD		1,646	1,582	-	-	3,228
POSCO(Guangdong) Automotive Steel Co., Ltd.		14,332	59,402	(68,294)	722	6,162
Gale International Korea, LLC		-	100	-	-	100
P&O Chemical Co., Ltd.		-	3,060	-	-	3,060
	₩	510,570	78,487	(70,961)	63,171	581,267

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

(*1) Including adjusted foreign currency translation differences and others.

33. Related Party Transactions (cont'd)

- (e) For each of the nine-month periods ended September 30, 2025 and 2024, there were additional investments in associates and joint ventures and others amounting to ₩167,792 million and ₩166,147 million, respectively.
- (f) For each of the nine-month periods ended September 30, 2025 and 2024, details of compensation to key management officers are as follows:

<i>(in millions of Won)</i>	September 30, 2025	September 30, 2024
Short-term benefits	₩ 127,598	123,032
Long-term benefits	4,131	7,754
Retirement benefits	16,692	19,865
	<u>₩ 148,421</u>	<u>150,651</u>

Key management officers include directors (including non-standing directors), executive officials and fellow officials who have significant influences and responsibilities in the Group's business and operations.

34. Commitments and Contingencies

(a) Contingent liabilities

Contingent liabilities can change due to unforeseen circumstances; therefore, management continuously reviews whether the likelihood of an outflow of resources embodying economic benefits has increased. Except in extremely rare circumstances where it cannot be reliably estimated, if the likelihood of an outflow of future economic benefits has increased, even if it had been treated as a contingent liability in the past, such changes in likelihood are recognized as a provision in the consolidated financial statements for the period in which the change occurred.

Management of the Group makes estimates and assumptions that affect disclosures of commitments and contingencies. All estimates and assumptions are based on the evaluation of current circumstances and appraisals with the support of internal and/or external specialists.

Management of the Group regularly analyzes the most current information on contingent events and provides information regarding provisions related to contingent losses, including potential estimated legal costs. Such assessments are based on consultations with internal and external legal counsel. In making the decision on the recognition of a provision, management considers the likelihood of an outflow of resources embodying economic benefits to settle the obligation and the possibility of making a reliable estimate of the amount.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

(b) Details of guarantees

- 1) Contingent liabilities from outstanding guarantees provided by the Group as of September 30, 2025 are as follows:

(in millions of Won)			Guarantee limit		Guarantee amount		
Guarantor	Guarantee beneficiary	Financial institution	Foreign currency	Won equivalent	Foreign currency	Won equivalent	
[The Company]							
POSCO HOLDINGS INC.	POSCO Asia Co., Ltd.	ING Bank and others	USD	200,000,000	280,440	25,000,000	35,055
	POSCO Argentina S.A.U	HSBC and others	USD	1,079,900,000	1,514,236	1,012,383,833	1,419,565
POSCO	POSCO ASSAN TST STEELINDUSTRY Inc	Citibank and others	USD	122,850,000	172,260	122,850,000	172,260
POSCO INTERNATIONAL Corporation	PT. Bio Inti Agindo	KEB Hana Indonesia and others	IDR	631,200,000,000	53,084	631,200,000,000	53,084
	POSCO ASSAN TST STEEL INDUSTRY	Woori Bank Hong Kong and others	USD	13,650,000	19,140	13,650,000	19,140
	POSCO INTERNATIONAL Deutschland GmbH				10,555,200	14,801	
	POSCO INTERNATIONAL JAPAN Corp.				-	-	-
	POSCO INTERNATIONAL AMERICA Corp.				-	-	-
	POSCO INTERNATIONAL SINGAPORE Pte. Ltd.				-	-	-
	POSCO INTERNATIONAL Malaysia SDN BHD				-	-	-
	POSCO INTERNATIONAL ITALIA S.R.L.	Bank Mendes Gans Amsterdam	USD	50,000,000	70,110	-	-
	POSCO INTERNATIONAL MEXICOSA. de C.V.				-	-	-
	POSCO INTERNATIONAL AUSTRALIA HOLDINGS PTY LTD				1,000,000	1,402	
	POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE C.V.				-	-	-
	POSCO INTERNATIONAL POLAND E-MOBILITY Sp.z o.o				-	-	-
	POSCO INTERNATIONAL E&P MALAYSIA SDN. BHD.	SC MALAYSIA	USD	5,000,000	7,011	5,000,000	7,011
	PT. KRAKATAU POSCO ENERGY	POSCO Asia Co., Ltd. and others	USD	102,903,407	144,291	35,350,000	49,568
	POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE C.V.	Export-Import Bank of Korea and others	USD	52,054,800	72,991	51,379,000	72,044
	POSCO INTERNATIONAL POLAND E-MOBILITY SP. Z O.O.	BNP Paribas Polska S.A.					
	PT POSCO INTERNATIONAL ENP INDONESIA	PT Bank Negara Indonesia	EUR	23,678,000	38,938	12,000,000	19,734
	AGPA PTE. LTD.	SMBC Singapore	USD	750,000	1,052	750,000	1,052
POSCO STEELCON CO. LTD.	Myanmar POSCO C&C Company, Limited.	POSCO Asia Co., Ltd.	USD	20,880,000	29,278	20,880,000	29,278
POSCO FUTURE M CO., LTD.	ULTIUM CAM LIMITED PARTNERSHIP	Investissement Quebec, Strategic Innovation Fund	CNY	121,678,106	23,949	101,398,422	19,957
			CAD	299,562,500	301,866	232,265,400	234,052
[Associates and joint ventures]							
POSCO HOLDINGS INC.	Nickel Mining Company SAS	ING Bank	EUR	46,000,000	75,647	46,000,000	75,647
	PT.Nicole Metal Industry	STANDARD CHARTERED	USD	39,200,000	54,966	35,824,311	50,233
POSCO	POBUK Titanium LLP	Shinhan Bank	USD	12,750,000	17,878	12,750,000	17,878
POSCO INTERNATIONAL Corporation	GLOBAL KOMSCO Daewoo LLC	Hana Bank Bahrain	USD	6,650,000	9,325	4,200,000	5,889
POSCO Eco & Challenge Co., Ltd.	Chun-cheon Energy Co., Ltd	Kookmin Bank and others	KRW	149,200	149,200	117,980	117,980
[Others]							
POSCO Eco & Challenge Co., Ltd.	Subcontractors for maintenance projects, etc.	Kookmin Bank and others	KRW	380,652	380,652	174,539	174,539
POSCO AUSTRALIA PTY LTD	Department of Trade and Investment (NSW Government) a	Woori Bank and others	AUD	18,744,862	17,290	18,744,862	17,290
POSCO COATED STEEL (THAILAND) CO., LTD.	AIAMTA NATURAL GAS DISTRIBUTION COMPANY LIMITED and others	SC Bank	THB	54,614,000	2,377	54,614,000	2,377
	BUREAU OF INDIAN STANDARDS (BIS)	SC Bank	USD	10,000	14	10,000	14
POSCO Maharashtra Steel Private Limited	Gail India and others	Deutsche Bank and others	INR	928,835,426	14,685	928,835,426	14,685

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

2) Details of credit enhancements by type of the Group's PF business as of September 30, 2025 are as follows:

① Maintenance projects and others

a. The information about the maturity of the loans related to PF credit enhancements such as debt acceptance and fund supplementation is as follows:

(in millions of Won)

Provider	Projects(*1)	Borrower	Type	Credit enhancement measures	Agreed amount	Executed amount	Balance of the loans						
							Total	Within 3 months	3-6 months	6 months ~1 year	1 year ~2 years	2 years ~3 years	After 3 years
[The Company]													
POSCO Eco & Challenge Co., Ltd.	Other projects	JB CLARK HILLS CORP	Main PF	Debt assumption	₩ 44,590	37,158	37,158	37,158	-	-	-	-	-
[Associates and joint ventures]													
POSCO Eco & Challenge Co., Ltd.	Other projects	New Songdo International City Development, LLC	Mortgage loan	Debt assumption	494,000	314,100	314,100	-	-	72,900	241,200	-	-
[Others]													
POSCO Eco & Challenge Co., Ltd.	Maintenance projects	Bangbae Shindonga Apartment Reconstruction and Maintenance Project Association, etc.	Main PF	Debt assumption									
	Other projects	Civic Center PFV	Main PF	Debt assumption	1,040,316	484,246	484,246	-	-	58,000	140,097	53,200	232,949
	Other projects	LandmarkSewoon	Main PF	Debt assumption	45,000	45,000	45,000	-	-	-	-	-	45,000
	Other projects	DAON INP Co., Ltd.	Main PF	Joint guarantee	50,000	50,000	50,000	-	-	-	-	-	50,000
	Other projects	Jeonju Eco-city	Main PF	Debt assumption	36,000	18,800	18,800	-	18,800	-	-	-	-
	Other projects	Apobly HNG	Main PF	Debt assumption	53,300	22,800	22,800	-	-	22,800	-	-	-
	Other projects	ISLAND ONE CO., LTD.	Main PF	Debt assumption	10,000	10,000	10,000	-	10,000	-	-	-	-
	Other projects	Jeonnong school keeper co. and others(*2)	Main PF	Debt assumption	50,000	50,000	50,000	-	-	-	-	50,000	-
POSCO DX	Other projects			Supplemental funding agreement									
					123,309	38,595	38,595	-	-	-	-	1,672	36,923
					1,407,925	719,441	719,441	-	28,800	80,800	140,097	104,872	364,872
					₩ 1,846,515	1,070,699	1,070,699	37,158	28,800	153,700	381,297	104,872	364,872

(*1) The maintenance project mainly consists of reconstruction and condominium construction projects, and other projects consist of constructions of office buildings, retail shops, warehouses, and educational facilities.

(*2) The obligation to supplement funding has been included in the Group's proportionate interests. The execution amount of the supplement funding obligation may vary depending on the fulfillment of such obligations by other construction investors or operational investors (Including other interests: guarantee limit of ₩1,122,320 million, outstanding loan balance of ₩354,887 million).

b. Details of conditional debt acceptance and principal and interest repayment commitments in the event of non-compliance with completion guarantee covenant as of September 30, 2025 are as follows:

(in millions of Won)

		Number of constructions	Contract amount	Contingency amount(*1)(*2)	Balance of loans
Maintenance projects	All	20	₩ 9,317,237	3,679,641	2,057,583
	Between the Group	20	6,863,586	2,646,897	1,345,859
Other projects	All	1	2,197,729	5,350,000	1,335,900
	Between the Group	1	2,197,729	5,350,000	1,335,900
	All	21	11,514,966	9,029,641	3,393,483
	Between the Group	21	₩ 9,061,315	7,996,897	2,681,759

(*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩28,305 million for maintenance projects.

(*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

c. Details of contingent liability for damages in the event of non-compliance with construction completion covenant as of September 30, 2025 are as follows:

(in millions of Won)		Number of constructions	Contract amount	Contingency amount(*1)(*2)	Balance of loans
Maintenance projects	All	1	₩ 316,398	76,000	31,253
	Between the Group	1	316,398	76,000	31,253
Other projects	All	34	10,963,081	11,556,700	7,788,988
	Between the Group	34	10,334,984	11,167,354	7,481,389
	All	35	11,279,479	11,632,700	7,820,241
	Between the Group	35	₩ 10,651,382	11,243,354	7,512,642

(*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩173,800 million for the maintenance projects.

(*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.

② SOC projects

(in millions of Won)

Provider	Recipient	Credit enhancement measures	Number of constructions	Approved amount	Remaining balance after repayment
[Associates and joint ventures]					
POSCO DX	Pocheon-Hwado Highway Corp.(*1)	Providing funds	1	₩ 24,923	22,265
POSCO Eco & Challenge Co., Ltd.	Pocheon-Hwado Highway Corp.(*1)	Providing funds	1	319,515	285,439
	POHANG E&E Co., LTD(*2)	Providing funds and supplemental funding agreement	2	71,930	40,444
	Pureun Tongyeong Enviro Co., Ltd.(*2)	Providing funds	1	25,630	10,088
	Pure Gimpo Co.,Ltd(*2)	Providing funds	1	51,565	21,699
	Clean Iksan Co.,Ltd(*2)	Providing funds	1	44,054	20,644
			7	537,617	400,579
[Others]					
POSCO DX	Western Inland highway CO.,LTD.	Providing funds	1	47,348	32,668
	Busan Sanseong Tunnel	Refinancing	1	7,621	7,621
POSCO Eco & Challenge Co., Ltd.	Western Seoul highway CO.,LTD. and others	Supplemental funding agreement	11	63,683	28,201
	Western Inland highway CO.,LTD. and others	Providing funds	42	2,778,848	1,566,941
	Pohang Youngil Bay New Port	Debt assumption	1	2,250	1,440
	Busan Sanseong Tunnel	Refinancing	1	35,296	26,750
			57	2,935,046	1,663,621
			64	₩ 3,472,663	2,064,200

(*1) The Group provides a funding commitment of ₩307,704 million (including other shares: ₩556,628 million) equivalent to the Group's share of the loan balance for the private investment project.

(*2) The Group provides a funding commitment of ₩90,047 million (including other shares: ₩166,323 million) equivalent to the Group's share of the loan balance for the private investment project.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

3) Other guarantees

- ① As of September 30, 2025, the payment guarantees that the Group provides to clients, such as contract performance guarantees, installment guarantees, and defect guarantees, by purchasing insurance policies from guarantee insurance companies or issuing guarantee certificates are as follows:

(in millions of Won)

Provider of credit enhancement	Recipient of credit enhancement	Types of guarantees	Agreed amount	Executed amount	Guarantor
[Subsidiaries]					
POSCO Eco & Challenge Co., Ltd.	Ventanas Philippines Construction Inc	Guarantee on performance for contracts and others	₩ 10,946	10,946	Credit Agricole and others
POSCO GYR Tech	POSCO and others	Defect liability warranty	194	194	CI Guarantee
			11,140	11,140	
[Associates and joint ventures]					
POSCO Eco & Challenge Co., Ltd.	PT. Tanggamus Electric Power	Letter of credit	2,812	2,812	Hana Bank
	PT. Wampu Electric Power	Letter of credit	2,524	2,524	Hana Bank
			5,336	5,336	
[Others]					
POSCO Eco & Challenge Co., Ltd.	DAEWOO ENGINEERING & CONSTRUCTION Co., Ltd and others	Guarantee on performance for construction and others	9,276,362	7,968,734	Construction Guarantee Cooperative
POSCO WIDE Co., Ltd	Human Eco-Land Co., Ltd.	Guarantee on performance and others	3,050	3,050	Seoul Guarantee Insurance
POSCO GYR Tech	KEPCO Plant Service & Engineering Co., Ltd. and others	Defect liability warranty	19	19	CI Guarantee
			9,279,431	7,971,803	
			₩ 9,295,907	7,988,279	

- ② As of September 30, 2025, the primary payment guarantees and other guarantees that the Group is provided from the guarantee institution are as follows:

(in millions of Won)

Provider	Types of guarantees	Agreed amount	Executed amount
Construction Guarantee Cooperative	Subcontractor Payment Guarantee and others	₩ 4,926,034	4,926,034
Engineering guarantee insurance	Guarantee on performance for	913,756	619,836
Seoul Guarantee Insurance	Construction performance guarantee and others	554,469	554,469
Korea Housing & Urban Guarantee Corporation	Housing Guarantee and others	4,773,240	4,767,553
Woori Bank and others	Foreign currency guarantee	1,914,475	861,968
Korea software financial cooperative	Guarantee on performance for contracts	121,202	121,202
Seoul Guarantee Insurance	Guarantee on performance and others	107,819	107,819
CI Guarantee	Defect liability warranty	213	213
		₩ 13,311,208	11,959,094

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

(c) Other commitments

Details of other commitments of the Group as of September 30, 2025 are as follows:

Company	Description
POSCO HOLDINGS INC.	As of September 30, 2025, POSCO HOLDINGS INC. entered into a commitment with KOREA ENERGY AGENCY for long-term foreign currency borrowings, which are limited up to the amount of USD 1.05 million. The borrowing is related to the exploration of gas hydrates in Western Fergana-Chinabad. The repayment of the borrowings depends on the success of the projects. POSCO HOLDINGS INC. is not liable for the repayment of full or part of the amount borrowed if the respective projects fail. POSCO HOLDINGS INC. has agreed to pay a certain portion of its profits under certain conditions, as defined by the borrowing agreements. As of September 30, 2025, the ending balance of the borrowing amounts to USD 1.02 million. POSCO HOLDINGS INC. has deposited 86,611 treasury shares for exchange with the Korea Securities Depository in relation to foreign currency exchangeable bonds as of September 30, 2025.
POSCO	POSCO entered into long-term contracts to purchase iron ore, coal, nickel and others. The long-term purchase contract period is more than two years for iron ore, three years for coal, and one year for nickel. These contracts provide for periodic price adjustments based on the market price. As of September 30, 2025, 51 million tons of iron ore and 15 million tons of coal remained to be purchased under such long-term contracts. POSCO entered into an agreement with Tangguh Liquefied Natural Gas (LNG) Consortium in Indonesia to purchase 550 thousand tons of LNG annually for 20 years commencing in August 2005. The purchase contract period and volume are 550,000 tons per year for 20 years from August 2005, and 120,000 tons from September 2025 to December 2026. The purchase price is subject to change, based on changes of the monthly standard oil price (JCC) and with a price ceiling. POSCO has a long-term service contract for the transportation of raw material. As of September 30, 2025, there are 32 vessels under contract, and the average remaining contract period is about 6 years. POSCO entered into an agreement with POSCO INTERNATIONAL SINGAPORE PTE LTD. to purchase 370 thousand tons of LNG annually for 15 years commencing in November 2026. The purchase price is subject to change based on changes of U.S. Natural Gas Spot Price (Henry Hub). POSCO has option of additionally extending the purchase contract by five years.
POSCO INTERNATIONAL Corporation	The Company invested in the Ambatovy Nickel Project (DMSA/AMSA) in Madagascar through the Korea Ambatovy Consortium (KAC) formed with Korea Mine Rehabilitation and Mineral Resources Corporation (KOMIR) and STX Corporation. SHERRITT INTERNATIONAL CORP., the operator, transferred a portion of the project's interests to Sumitomo and AHL (Ambatovy Holdings Limited) in December 2017, and transferred the remaining interests of the project to Sumitomo and AHL2 (Ambatovy Holdings II Limited) in August 2020. KAC has the rights and obligations to the 15.33% stake held by AHL and AHL2.
POSCO Eco & Challenge Co., Ltd.	As of September 30, 2025, according to the investor agreement for the construction of Samcheok Thermal Power Plant, POSCO Eco & Challenge Co., Ltd. is obligated to make contributions for core capital, unqualified investment, excess expenses occurred for business, and acceleration of payment.
POSCO FUTURE M CO., LTD	In accordance with the GP Shareholders Agreement with GM Battery Raw Materials Corporation ("GM"), the Company has an obligation to make additional capital contributions to ULTIUM CAM LIMITED PARTNERSHIP. As of September 30, 2025, the remaining amount of USD 576,692 thousand is scheduled to be contributed additionally by 2026 through capital call.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

34. Commitments and Contingencies (cont'd)

(d) Litigation in progress

The Group is involved in 448 lawsuits aggregating to ₩ 1,254.3 billion as defendant as of September 30, 2025, which arise from the ordinary course of business such as claim for confirmation of employee status. The Group has recognized provisions amounting to ₩ 52.1 billion for 60 lawsuits based on its reliable estimate of outflow of resources.

(e) Other major contingencies for the Group as of September 30, 2025 are as follows:

Company	Description
POSCO HOLDINGS INC.	POSCO HOLDINGS INC. has provided 3 blank checks to Korea Energy Agency as collateral for long-term foreign currency borrowings. The Company has a joint obligation with the company newly established through spin-off, POSCO, to discharge all liabilities (including financial guarantee contracts) incurred prior to the spin-off date.
POSCO INTERNATIONAL Corporation	As of September 30, 2025, POSCO INTERNATIONAL Corporation has provided 19 blank promissory notes and 15 blank checks to Korea Energy Agency and others as collateral for the guarantee on performance for contracts and others.
POSCO Eco & Challenge Co., Ltd.	As of September 30, 2025, POSCO Eco & Challenge Co., Ltd. has provided 38 blank checks and 4 blank promissory notes as collateral for agreements and outstanding loans.
POSCO DX	As of September 30, 2025, POSCO DX has provided 7 blank checks to financial institutions as collateral for the guarantee on performance for contracts and others.

35. Cash Flows from Operating Activities

Changes in operating assets and liabilities for each of the nine-month periods ended September 30, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>	September 30, 2025	September 30, 2024
Trade accounts and notes receivable	₩ (1,357,268)	57,694
Other receivables	(63,759)	(216,705)
Inventories	1,223,573	312,139
Other current assets	(210,942)	(26,464)
Other non-current assets	60,286	(21,825)
Trade accounts and notes payable	(823,357)	(245,564)
Other payables	(153,394)	(116,490)
Other current liabilities	121,815	37,423
Provisions	(78,419)	(186,254)
Usufruct	-	101,557
Payments of severance benefits	(272,129)	(309,176)
Plan assets	258,776	194,123
Other non-current liabilities	(13,056)	(31,304)
	<u>₩ (1,307,874)</u>	<u>(450,846)</u>

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

36. Operating Segments

- (a) The Group's operating businesses are organized based on the nature of markets and customers. Operating segments were re-categorized according to the revised reporting materials provided to the management for decision-making. Meanwhile, the Group has restated the information of the reporting segments from the previous quarter in accordance with the changes in the operating segments.

Segment assets, liabilities and profit (loss) are generally measured based on separate financial statements in accordance with KIFRS of the subsidiaries that constitute reportable operating segments.

Meanwhile, the Group has classified the business segment, and the subsidiaries in each segments are as follows:

Operating segments		Main Business
Steel		Manufacture and sales of steel products
Infrastructure	Trading	Supply and purchase transactions between domestic and foreign companies, power generation, and resource development
	Construction	Design, production and construction of steel mills and their facilities, commercial and residential facilities, etc.
	Logistics and others	Logistics, network and system integration business
Rechargeable battery		
Materials		EV battery materials such as lithium, nickel, negative/cathode materials
Others		POSCO HOLDINGS, INC., Controlling company and Investment business

The segment profit or loss does not reflect the consolidation adjustments allocated to each entity and is determined in the same way as the consolidated net income determined by KIFRS. Segment assets and liabilities are determined based on separate financial statements. There are various transactions between reporting segments, including disposal of property, plant and equipment and provision of construction services.

- (b) The information about reportable segments for each of the nine-month periods ended September 30, 2025 and 2024 is as follows:

1) For the nine-month period ended September 30, 2025

(in millions of Won)

		Infrastructure				Rechargeable battery materials	Others	Total
		Steel	Trading	Construction	Logistics and others			
External revenues	₩	28,185,219	18,007,807	4,052,334	212,192	1,758,600	37,253	52,253,405
Internal revenues		16,692,407	13,720,109	1,271,332	2,425,274	935,407	1,266,585	36,311,114
Inter segment revenues		10,399,005	6,204,996	1,215,184	2,402,558	797,576	1,251,229	22,270,548
Total revenues		44,877,626	31,727,916	5,323,666	2,637,466	2,694,007	1,303,838	88,564,519
Segment profits (loss)		1,037,666	449,262	(318,849)	57,284	(413,919)	965,888	1,777,332

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
September 30, 2025 and 2024 (Unaudited)

36. Operating Segments (cont'd)

2) For the nine-month period ended September 30, 2024

(in millions of Won)

		Infrastructure					Others	Total
		Steel	Construction	Trading	Logistics and others	Rechargeable battery materials		
External revenues	₩	29,436,774	17,200,766	5,586,634	279,312	2,321,868	57,645	54,882,999
Internal revenues		17,125,375	15,402,898	1,889,536	2,763,952	746,939	1,485,193	39,413,893
Inter segment revenues		11,161,623	7,119,429	1,801,395	2,752,776	721,458	1,467,893	25,024,574
Total revenues		46,562,149	32,603,664	7,476,170	3,043,264	3,068,807	1,542,838	94,296,892
Segment profits		697,542	659,154	62,528	97,423	(65,415)	1,442,488	2,893,720

- (c) Reconciliations of the total segment revenues, profit or loss, assets and liabilities, and other significant items to their respective consolidated financial statement line items for each of the nine-month periods ended September 30, 2025 and 2024 are as follows:

(in millions of Won)

		<u>September 30, 2025</u>	<u>September 30, 2024</u>
Total profit for the period	₩	1,777,332	2,893,720
Fair value adjustments		(47,418)	(30,389)
Elimination of intra-group transactions		(914,920)	(1,212,476)
Income tax expense		440,488	492,511
Profit before income tax expense	₩	<u>1,255,482</u>	<u>2,143,366</u>

37. Events after the reporting period

- (a) Pursuant to the resolution of the Board of Directors on November 11, 2025, the Company decided to pay interim cash dividends of ₩2,500 per common share (Total dividends: ₩ 189.1 billion).
- (b) Pursuant to the resolution of the Board of Directors on November 11, 2025, the Company decided to acquire a 30% stake in a newly established company by Mineral Resources Ltd., located in Australia, to strengthen cost competitiveness in the lithium business through investment in high-quality resources. The investment amount is USD 765 million.
- (c) POSCO Future M Co., Ltd., a subsidiary, entered into a debt guarantee agreement on October 1, 2025, for the borrowings of its subsidiary Ultium CAM LP. The debt and guarantee amount is USD 100,000,000, and the guarantee period lasts until the maturity date of the relevant borrowings, which is September 29, 2028.

38. Uncertainty in Estimates Due to Imposition of Tariffs by the United States

In June 2025, the U.S. government announced an executive order imposing a 50% tariff on all steel and aluminum products, effective from June 4, 2025. This tariff imposition introduces uncertainty in the estimation of financial statements.